EnCap Investments L.P.

EnCap Energy Capital Fund IX

Quarterly Review

As of March 31, 2023

Confidential

ENCAP INVESTMENTS L.P.

Energy Capital Fund IX

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Section I: Summary of Significant Events and Valuation

Activity for the three months ended March 31, 2023

Transactions

Type	#	*$ in millions*
Commitments	0	0.0
Investments	0	0.0
Distributions-Cash	8	73.4

In December 2022, the life of Fund IX was extended until December 31, 2024 as approved by a vote of the Advisory Board. EnCap agreed to waive all management fees during the life of the extension.

Fund IX made no commitment adjustments to portfolio companies.

Fund IX made no investments in portfolio companies.

Fund IX received cash distributions from the following portfolio companies ($ in millions):

Distributions:	
Sabalo	$ 37.0
Protégé III	18.2
EnCap Minerals	11.6
Felix	4.7
Phillips Energy IV	0.9
OGX III VNOM Shares	0.8
Excalibur	0.1
Sierra	0.1
	$ 73.4

Fund Performance Summary ($ in millions)

The table below presents investment performance since inception. A valuation by investment is incorporated in the subsequent table.

Date of Initial Investment	*Total Committed*	*Capital Invested*	*Realized Proceeds*	*Unrealized Value*	*Total Value*	*Gross IRR*	*Net IRR*
Jan-13	$ 5,823.3	$ 5,327.3	$ 6,258.0	$ 2,928.8	$ 9,186.8	15.0%	10.4%

Portfolio Status

Fund IX

(As of March 31, 2023; $ in millions)

Company	Date of Initial Investment	Commitment	Total Capital Invested	Realized Proceeds	Unrealized Value	Total Realized Proceeds & Unrealized Value	ROI	Gross IRR
Realized or Substantially Realized Investments								
Paloma III	Jan-13	$ 51.2	$ 51.2	$ 107.6	$ -	$ 107.6	2.1x	46.2%
Payrock	Jan-13	66.8	66.8	308.6	0.3	308.9	4.6	86.0
Common III	Jan-13	60.4	60.4	11.7	-	11.7	0.2	(42.0)
Modern	Mar-13	128.9	128.9	30.5	-	30.5	0.2	(23.2)
Felix	Apr-13	381.9	381.9	1,958.8	17.2	1,976.0	5.2	99.7
QStar	Jun-13	338.5	338.5	826.7	-	826.7	2.4	101.7
Silverback	Nov-13	292.2	292.2	915.9	-	915.9	3.1	99.9
Sabalo	Mar-14	319.6	319.6	562.9	125.9	688.8	2.2	14.4
Piedra III	Jun-14	328.0	302.0	166.4	871.9	1,038.3	3.4	21.6
Fuse	Jun-14	134.8	134.8	-	-	-	0.0	(79.1)
Sierra	Sep-14	110.5	110.5	242.1	-	242.1	2.2	33.0
OGX III VNOM Shares	Jan-15	258.2	258.2	519.1	-	519.1	2.0	20.7
Southland	Feb-15	310.2	310.2	-	-	-	0.0	n/a
Phillips Energy IV	May-15	39.6	39.6	51.6	3.6	55.2	1.4	7.1
QStar II	Apr-17	12.8	12.8	0.2	-	0.2	0.0	(88.9)
		2,833.6	**2,807.6**	**5,702.1**	**1,018.9**	**6,721.0**	**2.4x**	**39.1%**
Unrealized Investments								
Bold III	Apr-13	232.0	232.0	-	440.5	440.5	1.9	
Montage	Jun-13	547.2	547.2	73.6	45.3	118.9	0.2	
Protégé III	Sep-13	773.2	517.0	232.0	467.1	699.1	1.4	
Excalibur	Oct-13	630.3	545.8	14.6	85.2	99.8	0.2	
Paloma IV	May-14	585.2	470.6	90.1	570.7	660.8	1.4	
EnCap Minerals	Jan-15	221.8	207.1	145.6	301.1	446.7	2.2	
		2,989.7	**2,519.7**	**555.9**	**1,909.9**	**2,465.8**	**1.0x**	
		$ 5,823.3	**$5,327.3**	**$ 6,258.0**	**$ 2,928.8**	**$ 9,186.8**	**1.7x**	**15.0%**

Note: Amount committed, invested and distributed shown net of $52.8 million recallable bridge loan to Southland.

Comparison to prior quarter
($ in millions)

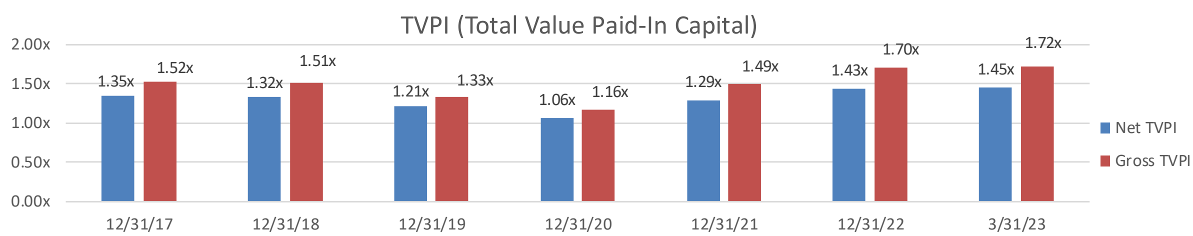
	Valuation 12/31/2022	Valuation 3/31/2023	Q1 2023 Cash Inv. (Distrib.)	Valuation Increase (Decrease)	% Change in Unrealized from 12/31/2022	Comments (> $5MM and 5% change)
Payrock	$ 0.2	$ 0.3	$ -	$ 0.1	50.0%	
Felix	17.3	17.2	(4.7)	4.6	26.6%	
Sabalo	175.8	125.9	(37.0)	(12.9)	-7.3%	Valued using executed PSA
Bold III	481.9	440.5	-	(41.4)	-8.6%	Decrease in ESTE public security price
Montage	53.0	45.3	-	(7.7)	-14.5%	Decrease in SWN public security price
Protégé III	440.6	467.1	(18.2)	44.7	10.1%	Positive Eagle Ford drilling results and activity
Excalibur	88.7	85.2	(0.1)	(3.4)	-3.8%	
Paloma IV	577.5	570.7	-	(6.8)	-1.2%	
Piedra III	756.2	871.9	-	115.7	15.3%	Valued using executed PSA, with equity proceeds discounted 10%
Sierra	-	-	(0.1)	0.1	N/A	
OGX III VNOM Shares	-	-	(0.8)	0.8	N/A	
EnCap Minerals	316.4	301.1	(11.6)	(3.7)	-1.2%	
Phillips Energy IV	3.7	3.6	(0.9)	0.8	21.6%	
	$ 2,911.3	$ 2,928.8	$ (73.4)	$ 90.9	3.1%	

Fund Status

($ in millions)

	12/31/17	12/31/18	12/31/19	12/31/20	12/31/21	12/31/22	3/31/23
Total Commitments	5,154.6	5,154.6	5,154.6	5,154.6	5,154.6	5,154.6	5,154.6
Total Paid-In Capital	5,464.5	5,718.6	5,817.7	5,877.0	5,913.1	5,935.2	5,935.2
Recallable Capital	919.1	919.1	980.1	980.6	981.1	981.1	981.1
% Total Capital Drawn*	88.2%	93.1%	93.9%	95.0%	95.7%	96.7%	96.7%
Remaining Commitment*	609.2	355.1	317.0	258.2	222.6	200.5	200.5
Investments at Cost	5,112.3	5,297.4	5,366.9	5,375.8	5,380.1	5,380.1	5,380.1
Investments at FMV	7,788.5	7,981.7	7,136.7	6,245.9	8,002.5	9,148.9	9,239.6
Gains (losses) - on unrealized companies	(234.3)	(201.0)	(1,049.0)	(1,289.3)	(303.9)	585.2	(53.9)
Gains (losses) - on realized companies	2,910.5	2,885.3	2,818.9	2,159.4	2,926.3	3,183.6	3,913.4
Gross Distributions	3,366.0	4,021.3	4,429.7	4,546.0	5,149.4	6,237.6	6,310.8
Cash Balance	84.9	71.6	47.7	54.6	35.6	36.9	24.6
# of Companies Funded	22	22	20	20	21	21	21
# of repeat teams	10	10	10	10	9	9	9
# of new teams	12	12	10	10	12	12	12
Realized above cost	5	6	6	6	8	9	10
Realized below cost	1	3	3	5	5	5	5
Unrealized above cost	9	7	4	3	4	5	4
Unrealized at cost	1	-	-	-	-	-	-
Unrealized below cost	6	6	7	6	4	2	2
Gross Distributions:							
% of total drawdowns	61.6%	70.3%	76.1%	77.4%	87.1%	105.1%	106.3%
% of committed capital	65.3%	78.0%	85.9%	88.2%	99.9%	121.0%	122.4%
Key Fund Valuation Metrics:							
Gross IRR	24.3%	19.4%	12.2%	6.0%	12.8%	15.0%	15.0%
Gross DPI (Distributions to investment)	0.66x	0.76x	0.83x	0.85x	0.96x	1.16x	1.17x
Gross RVPI (Residual value to paid-in capital)	0.87x	0.75x	0.50x	0.32x	0.53x	0.54x	0.54x
Gross TVPI (Total value to paid-in capital)	1.52x	1.51x	1.33x	1.16x	1.49x	1.70x	1.72x
Net to LPs:							
Net IRR	16.8%	13.2%	8.1%	2.4%	8.3%	10.4%	10.4%
DPI (Distributions to paid-in capital)	0.61x	0.70x	0.76x	0.77x	0.87x	1.05x	1.06x
RVPI (Residual value to paid-in capital)	0.74x	0.62x	0.46x	0.29x	0.42x	0.39x	0.39x
TVPI (Total value to paid-in capital)	1.35x	1.32x	1.21x	1.06x	1.29x	1.43x	1.45x

Historical Fund Performance (TVPI)



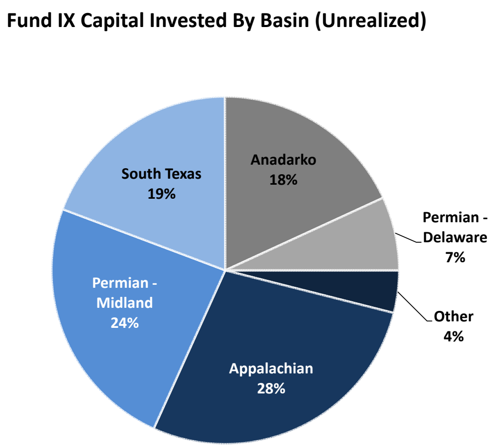
* Includes recallable capital

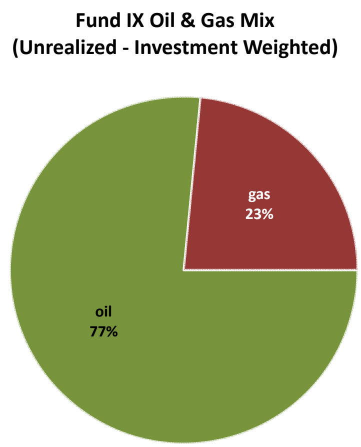
Projected Contributions and Distributions as a Percentage of Commitment

	2023	2024	2025
Contributions	2%	0%	0%
Distributions	25%	25%	0%

Portfolio Review and Discussion of Recent Transactions

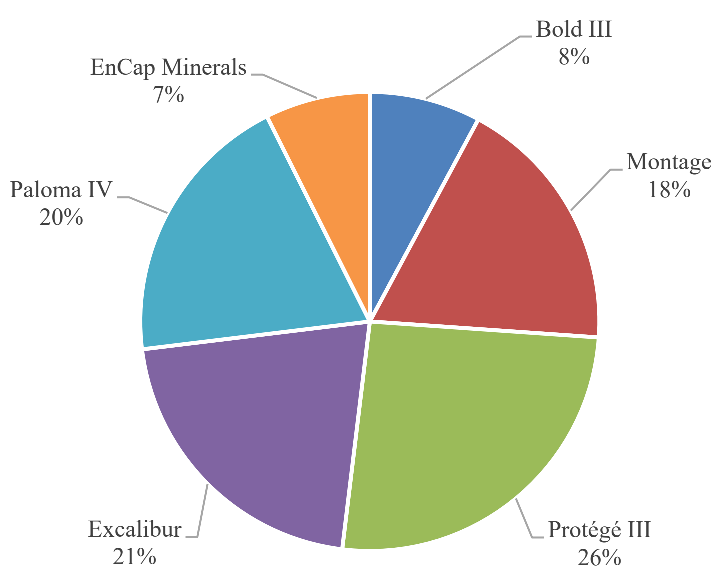
Fund Capital Allocation





gas @20:1 mcf/bo
NGL's included in oil @0.6bbl/bo

Fund IX Unrealized Commitment Concentration



Significant Events and Transactions

Bold III (Earthstone)	-	Continued to generate free cash flow and pay down modest debt profile
Protégé III	-	Continued development of their Eagle Ford asset; continued to make distributions while maintaining a modest leverage profile
Sabalo	-	Announced sale of retained mineral and royalty assets to Kimbell Royalty Partners for a total consideration of ~$143.1 million consisting of cash and stock
Paloma IV	-	Currently running a development program in light of compelling economics
Piedra III	-	Signed SPA in April 2023 to sell all operated and non-operated properties to Ovintiv Inc. (NYSE: OVV) as part of EnCap's larger Northern Midland Basin sale, with closing expected in late Q2 2023
Phillips IV	-	Completed sale of STACK mineral assets to 89 Energy; received ~$15 million in cash proceeds at closing
EnCap Minerals	-	Made ~$120 million in distributions ($12 million net to Fund IX); current industry activity should translate to growth for the entity in 2023

Environmental, Social and Governance Highlights

During the due diligence phase of our investment process, EnCap ensures that the prospective management team members are fully aligned with EnCap's Environmental, Social and Governance ("ESG") building blocks prior to making the investment decision. Upon partnering with a new team, EnCap requires each portfolio company to have a likeminded ESG policy and supporting policies and procedures in place. In addition, EnCap requires each portfolio company to report on significant ESG issues and provide details of ongoing ESG developments during each quarterly Board meeting. This information is used by EnCap to quantitatively measure ESG activities and the impact on the performance of each portfolio company.

During Q1 2023, EnCap managed Fund IX in accordance with ESG policies. There were no material changes to the ESG risks and opportunities facing the portfolio, and there were no material ESG incidents to report during the quarter.

Additionally, refer to our EnCap Sustainability Report available on our FIS DX website.

Other Reporting Matters

In addition to this report (which contains all fund financial statements in Section IV), the following reports net to each Limited Partner are available on our Investran DX website:

1. Statement of Partner's Capital, including allocation of the following:
    a. Management fees
    b. Net operating income (loss)
    c. Realized gains (losses)
    d. Unrealized gains (losses)
    e. Unrealized incentive allocation
    f. Incentive payments to the GP
    g. Contributions paid
    h. Distributions received
    i. Recallable distributions received
    j. Tax withholdings, if applicable
    k. Portfolio company summary cash flows

2. Status of Payout

3. ILPA Fee and Expense Reporting Template

Other reporting available on our Investran DX website includes:

1. Cash call and distribution notices

2. Quarterly management fee calculations

3. Supplemental fund and portfolio company information (available 45 days after quarter end/105 days after year end)

    a. Fund organization information
    b. Portfolio company organization information
    c. Portfolio company financial information

4. Supplemental Schedule of Investments

5. All tax reporting

6. Annual audited financial statements

7. Advisory Board presentations

8. Legal documents

Please contact Katherine Cangelosi at Kcangelosi@encapinvestments.com if log on assistance is needed.

Section II: Industry Overview

Crude Oil Overview

Crude spot prices ("WTI") finished the quarter down ~9% QoQ and ~28% YoY. WTI dipped below $70/Bbl in mid-March for the first time since December 2021 amid ongoing concerns in the banking sector, an appreciating U.S. dollar and rising crude inventories. Subsequent to quarter-end WTI prices have rebounded back to ~$80/Bbl after several OPEC+ members announced a new coordinated production cut starting in May 2023 and extending through year-end 2023. The proposed cuts will add up to ~1.7 MMBbl/d, including the previously announced ~500KBbl/d cut by Russia, which was due to expire at the end of June 2023. Saudi Arabia led the way by pledging its own ~500KBbl/d production cut. Unlike OPEC+'s October 2022 production cut announcement of ~2MMBbl/d, these new production cuts are voluntary and in addition to the group's previously agreed upon production cut. Most analysts view these new production cuts as a bullish indicator for oil prices going into the summer as OPEC+ now seems committed to defending a WTI pricing floor. These OPEC+ cuts will also accelerate the shift from a crude oil surplus to deficit and should mean a shortfall of ~2MMBbl/d in H2 2023 assuming the cuts are maintained through year-end and that compliance within the group is good. In the near/medium-terms the market will continue to monitor 1) China re-opening 2) Russian supply and 3) continued recessionary fears.

Natural Gas Overview

Natural gas spot prices ("Henry Hub") continued to remain weak during the quarter and finished down ~43% QoQ and ~63% YoY. The natural gas strip deck continues to remain in contango with the back of the curve (36-48 months out) hovering at ~$4.30/MMBtu. Over the last few months gas storage has continued to build relative to the 5-year average mainly due to a fairly mild winter worldwide. Most analysts continue to expect near-term pricing weakness due to high current production and limited demand drivers in 2023. LNG growth beginning in late 2024 should be a bullish driver going forward.

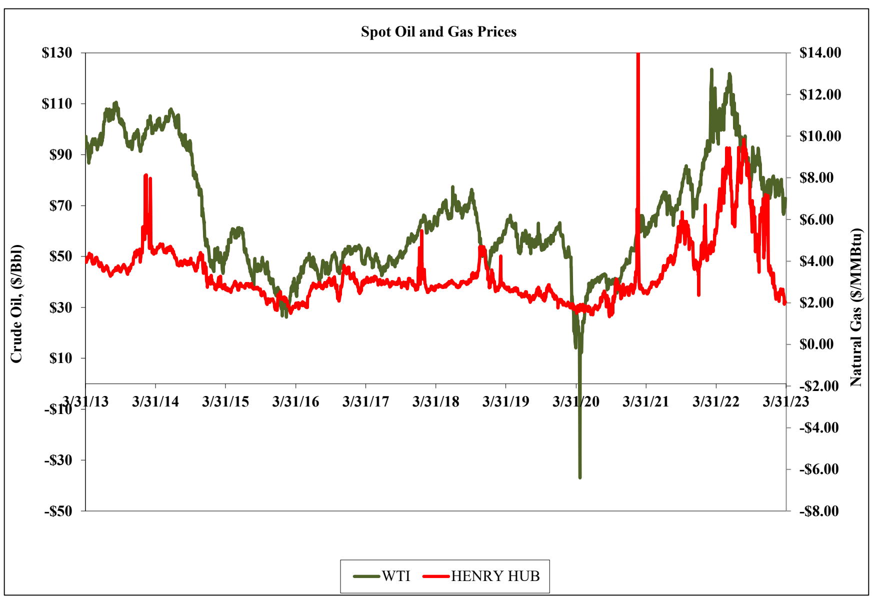


Figure 1: Oil & Gas Spot Prices

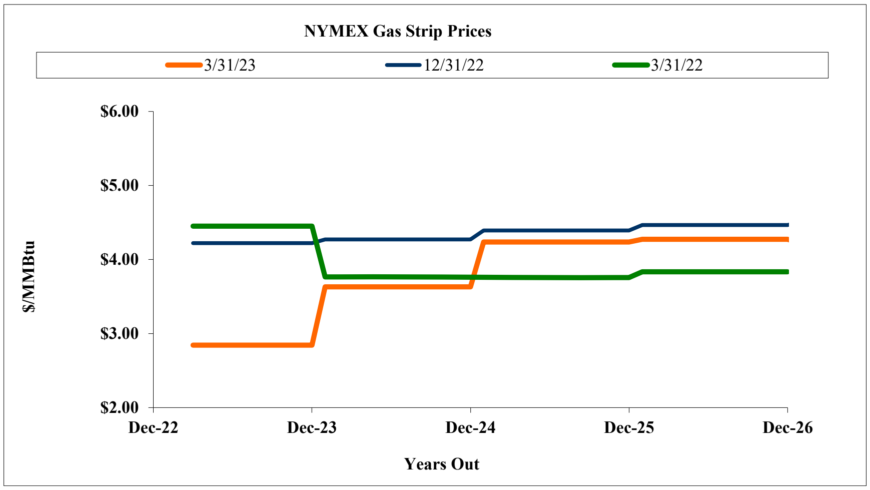


Figure 2: Natural Gas (Henry Hub) Strip Prices

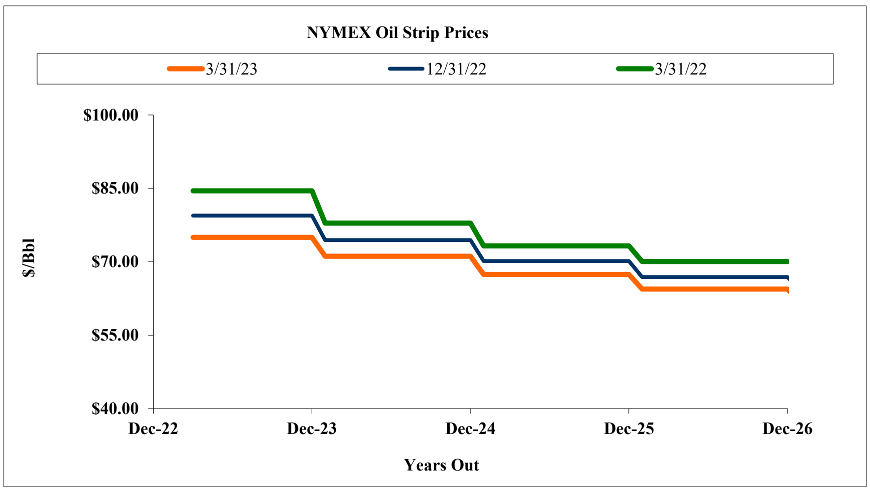


Figure 3: Crude Oil (WTI) Strip Prices

Drilling Activity

During Q1 2023, the total U.S. rig count (as measured by Baker Hughes) decreased 3.1% QoQ to 755 rigs. This total rig count represented an increase of 12.7% YoY. The U.S. total natural gas rig count finished the quarter at 160 rigs, up from 156 rigs running at the end of Q4 2022. Year-over-year, the U.S. total natural gas rig count finished up 16.8%. The U.S. total oil rig count decreased 4.7% during Q1 2023, moving from 621 rigs at the beginning of the quarter to 592 rigs at quarter-end. Year-over-year, the U.S. total oil rig count finished up 11.5% or ~61 rigs.

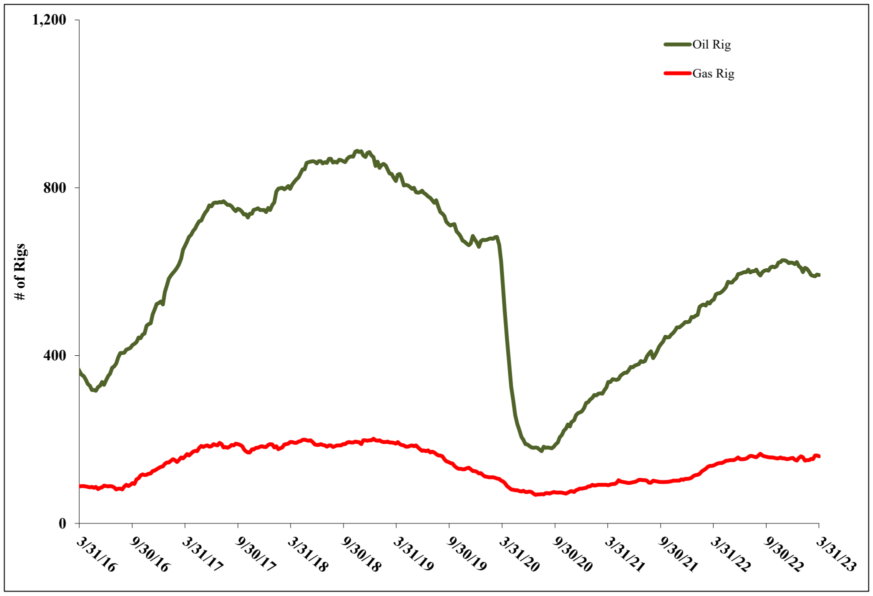


Figure 5: U.S. Total Onshore and Offshore Rig Count

M&A Activity

During Q1 2023 total M&A upstream deal value total ~$8.6 billion, consisting of ~20 transactions. Buyers are once again paying for quality inventory, with Tier 1 acreage selling for +$2MM/location. Increasing scarcity of core inventory is becoming a key consideration for strategic buyers. Public buyers also continue to be focused on FCF accretive deals and going forward will have to balance paying for inventory against FCF accretion. Corporate consolidation will also likely continue to play a role in 2023/2024 as SMID companies pursue mergers of equals to build scale and increase FCF distributions. Notable transactions during the quarter included 1) Baytex Energy's $2.5 billion acquisition of Ranger Oil Corporation 2) Matador's $1.6 billion purchase of Delaware Basin assets from Advance Energy Partners and 3) Ineos' purchase of Chesapeake's Eagle Ford assets for $1.4 billion.

Report Sources: Enverus, Baker Hughes, Rapidan Energy Group, National Bank of Canada and UBS Energy Infrastructure.

ENCAP INVESTMENTS L.P.

EnCap Energy Capital Fund IX

Section III:
Portfolio Companies

Unrealized:

1. BOLD ENERGY III (Earthstone)
2. SOUTHWESTERN (Montage/Eclipse)
3. PROTÉGÉ ENERGY III
4. EXCALIBUR RESOURCES
5. PALOMA PARTNERS IV
6. ENCAP MINERALS

Realized

7. COMMON RESOURCES III
8. PALOMA PARTNERS III
9. PAYROCK ENERGY
10. MODERN RESOURCES
11. FELIX ENERGY
12. QSTAR
13. SILVERBACK EXPLORATION
14. SABALO ENERGY
15. PIEDRA ENERGY III
16. FUSE ENERGY
17. SIERRA OIL & GAS
18. OGX HOLDINGS III
19. SOUTHLAND ROYALTY
20. PHILLIPS ENERGY PARTNERS IV
21. QSTAR II

Valuation Assumptions

Valuations have generally been determined as follows (subject to adjustment for particular circumstances and review by the Advisory Board):

1) Private equity securities and mineral interests held during the initial investment period are valued at cost (which is considered fair value) until such time as there is a measurable change in fair market value based upon the assumptions below.

2) Private equity exploration and production investments held after the initial investment period (generally longer than twelve months unless an expansion from an earlier fund) are valued at the risk adjusted PV10 of the future cash flow stream. The future cash flow stream is based on third party engineered projections applying the NYMEX forward strip pricing as of the valuation date.

   The reserve categories were generally risked as follows:
   a. PDP – no discount applied
   b. PDNP – a 20% discount applied
   c. PUD – a 40% discount applied
   d. Probable – an 80% discount applied
   e. Possible – a 90% discount applied

   The average NYMEX strip prices by year as of March 31, 2023 were as follows:

	$/BO	$/MMBTU
2023	74.97	2.84
2024	71.10	3.63
2025	67.39	4.24
2026	64.40	4.27
2027+	61.68	4.22

   Unevaluated oil and gas leaseholds and other operating assets, such as gathering systems and processing plants, are valued in consideration of the original acquisition price and more recent public or private transactions in similar assets.

3) Non-producing and early stage mineral interests and ORRIs are valued at precedent transactions or discounted cash flows if underlying third-party reserve reports are available. Mature producing mineral interests and ORRIs are valued using a cash flow multiple of actual trailing 12 month cash flow. The cash multiple utilized is derived by taking into consideration market and asset specific factors including, but not limited to: location; life cycle or maturity of the asset; projected growth profile; precedent transactions; and comparable public market trading multiples.

4) Montage is valued based on 9,060,258 shares of Southwestern valued at the quarter end closing price of $5.00 per share.

5) Sabalo and Piedra III are valued based on the terms of their expected sale agreements.

6) Felix is valued as follows:

   a. Expected indemnity holdbacks per the terms of their sale agreement

   b. Remaining NWC from the balance sheet

7) Payrock is valued based on the expected indemnity holdbacks per the terms of their sale agreement.

8) Bold is valued based on 33.957 MM common B units of Earthstone Energy (NYSE:ESTE) valued at the quarter end share price of $13.01/share.

9) Excalibur is valued as follows:

    a. 4,704,247 shares of Southwestern Energy valued at the quarter end closing price of $5.00 per share

    b. Ownership of the Iron Horse midstream and TOM STACK midstream JVs

10) EnCap Minerals is valued based on the remaining mineral acreage and ORRI’s valued using a cash flow multiple of actual trailing 12 month cash flow plus NWC and debt from the balance sheet.

11) Phillips Energy IV is valued based on the expected indemnity holdbacks per the terms of their sale agreement.

Bold Energy III LLC (Earthstone)

Company Description

Bold III was a privately held Midland, Texas based independent oil and gas acquisition and development company focused on acquiring and exploiting reserves in the Permian Basin of West Texas. Bold was managed by eight seasoned oil and gas professionals including, Joe Castillo (President), David Cox (VP of Engineering & Business Development), Peggy Worthington (Business Development Manager), Teri McGuigan (Land Manager) and Robert Soza (Drilling Completion Manager). The team initially partnered with EnCap Fund V in Bold Energy I in 2005 and subsequently sold the company to Occidental Petroleum in May 2008 for approximately $94 million in cash, providing a 2.4x ROI and 42% IRR on Fund V's $22.8 million investment. The team then partnered with EnCap Energy Capital Fund VII in 2008 and subsequently sold its two largest assets in separate transactions providing $58.5 million of distributions on $52.4 million invested, realizing a 1.1x ROI on Fund VII's investment.

Transaction Summary

In April 2013, Fund IX formed a limited liability company with Bold III, committing $217 million. The management team committed $8 million providing total capital of $225 million. The investment takes the form of common equity with Fund IX receiving 96.4% of the available cash flow until an 8% IRR and a 1.25x ROI is earned (based on a fully funded scenario), and thereafter distributions are allocated on a graduated basis until higher IRR and ROI targets are met. Fund IX holds a majority position on the Board of Managers.

Post-Investment Activity

Since closing its equity commitment in April 2013, Bold acquired a meaningful acreage position in the Wolfcamp Shale in Reagan, Irion, Upton, and Midland Counties, TX. In Q2 2016, Bold acquired 2,900 net acres, all of which are HBP, in Upton County from Marathon Oil Corporation for $33 million. The acreage was proven with offset wells in three benches with an additional two prospective benches. Along with the acquisition, Bold's commitment was expanded by $50 million from Fund IX in July 2016, which increased the company's total commitment to $276.5 million.

In Q4 2016, Bold entered into a definitive contribution agreement with Earthstone Energy Inc. under which Earthstone acquired all of the outstanding membership interests of Bold. Current Earthstone stockholders received approximately 39% of the combined company, and Bold members received the remaining 61% on a fully diluted basis. The transaction represented EnCap's view of the valuation arbitrage that could be captured by holding these high growth Midland Basin assets in a publicly traded entity. In May 2017, the acquisition closed, and Earthstone assumed control of all operations.

On October 17, 2018, Earthstone announced a definitive agreement to purchase Sabalo Energy ("Sabalo"), a Fund IX portfolio company. On December 22, 2018, Earthstone and Sabalo terminated the transaction due to significant declines in commodity prices, which severely impacted the public capital markets.

In April 2020, Robert Anderson, longtime President of Earthstone, officially became CEO of the Company. Frank Lodzinski assumed the role of Executive Chairman and will remain engaged with company affairs.

In Q4 2020, Earthstone acquired Independence Resources Management, a privately held independent E&P company backed by Warburg Pincus and its affiliates for $182 million, consisting of $131.2 million in cash and 12.7 million Earthstone Class A common stock.

On July 20, 2021, Earthstone completed the previously announced acquisition of Tracker Resource Development III, LLC ("Tracker") and its joint venture partner Sequel Energy Group, LLC ("Sequel") for $81.6 million cash and 6.2 million Earthstone Class A common shares (~$126.5 million of total proceeds).

On November 2, 2021, Earthstone completed the acquisition of privately held Irion County, TX operated assets from Foreland Investments LP and from BCC-Foreland LLC (collectively, "Foreland") for $49.2 million in cash and 2.6 million shares of Earthstone's Class A common stock (~$73.2 million of total proceeds). These assets are due east and offset the Tracker assets acquired by Earthstone in the summer of 2021.

On February 15, 2022, the company closed its acquisition of the assets of privately held Chisholm Energy Holdings, LLC ("Chisholm") from Warburg Pincus and its affiliates for $604 million in total proceeds. Total deal consideration consisted of $340 million in cash, $70 million of deferred cash due over the 12 months after closing, and approximately 19.4 million shares of Earthstone's Class A common stock. The assets are located in the northern Delaware Basin of New Mexico and provide Earthstone with its first footprint in the Delaware Basin.

On April 14, 2022, Earthstone completed a bolt-on deal to acquire privately held operated assets in the Southern Midland Basin from Bighorn Permian Resources, LLC ("Bighorn") for a total consideration of $713 million. Earthstone funded $639 million of cash and issued 5.7 million shares of Earthstone's Class A common stock to Bighorn. To help fund the cash portion of the deal, Earthstone issued $550 million of 8% senior unsecured notes in April 2022 and closed a $280 million PIPE that included $220 million from EnCap (19.8 million new shares of Earthstone Class A common stock net to Fund XI) and $60 million from Post Oak Energy Capital ("Post Oak") (5.4 million new shares to Earthstone Class A common stock). In conjunction with this transaction, EnCap Fund VII also sold all 4.6 million of its Earthstone shares to Post Oak for $51 million in total proceeds. Negotiation of deal terms was led by Post Oak and EnCap received all necessary Advisory Board approvals related to the Bighorn transaction.

On August 10, 2022, Earthstone closed its acquisition of Titus Oil & Gas Production, LLC's northern Delaware Basin assets in New Mexico for $635 million including $575 million cash and $60 million of equity (3.9 million shares). The deal was priced at a discount to PDP PV10 value and helps Earthstone expand its highly economic inventory in the core of the Delaware Basin and add additional scale.

Recent Events

Earthstone is very well positioned to generate substantial free cash flow at current commodity price levels and will use free cash flow to: (1) paydown its moderate leverage profile, (2) return capital to shareholders, and (3) make opportunistic accretive acquisitions.

Valuation ($000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Apr-13	$231,964	$0	$440,455	$440,455	1.90x	N/A

Montage Resources Corporation (formerly Eclipse Resources)

Company Description

Montage Resources, was a publicly-held oil and gas acquisition and development company based in Fort Worth, TX, with assets in the Utica and Marcellus Shales of eastern Ohio. Before its merger with Southwestern Energy in November 2020, the company was led by John Reinhart, the former Chief Executive Officer of Blue Ridge Mountain Resources. This investment was originally Eclipse Resources, managed by Ben Hulbert (CEO) and other senior executives.

Transaction Summary

In January 2011, Fund VIII made an initial equity commitment to Eclipse for $145 million. Management committed $5 million, providing an initial total equity commitment of $150 million to the company. During Q4 2011, the company's equity commitment was increased to $230 million ($79 million net to Fund VIII and $1 million net to management). In December 2011, a group of silent co-investors assumed $80 million of Fund VIII's commitment amount bringing Fund VIII's new maximum commitment amount to $144 million. These combined commitments provided the company with a $230 million total equity commitment.

During Q2 2013, Fund VIII increased its commitment from $144 million to $300 million, Fund VIII Co-Investment Fund increased its commitment from $80 million to $167 million, and Fund IX made a new commitment of $300 million for a total equity commitment of $773 million. During Q1 2014, Fund VIII and Fund IX both increased their commitments from $300 million to $358 million, Fund VIII Co-Investment Fund increased its commitment from $167 million to $199 million, and management increased its commitment from $6 million to $7 million for a total equity commitment of $923 million. In December 2014, Fund IX and Fund VIII Co-Investment Fund expanded their commitments to Eclipse by $189 million and $51 million, respectively, ($240 million total) to fund their portion of the PIPE offering. The investment is structured in the form of common equity with the investor group receiving 98.9% of distributed cash until an 8% IRR and 1.1x ROI, and thereafter distributions will be allocated on a graduated basis as certain ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post-Investment Activity

During Q2 2012, Eclipse closed on its joint venture with Antero Resources in its Utica Shale acreage located primarily in Noble County, Ohio. Eclipse sold a 70% working interest in ~30,000 gross acres for ~$120 million of sales proceeds ($6,000/acre). The acreage was sold at a premium compared to Eclipse's original cost basis in the play. Furthermore, the sale minimized the amount of outstanding risk capital allocated towards acreage and allowed the company to maintain a meaningful leasehold position within the emerging Utica Shale.

On March 15, 2013, Eclipse signed a stock purchase agreement to acquire a private, Ohio-based operator for $650 million. The seller's assets consisted of over 185,000 net acres located in Ohio with approximately 50,000 net operated acres predominately located in the core of the wet gas/condensate window of the Utica Shale that were largely contiguous with Eclipse's then-current acreage position and surrounded by impressive well results from operators in the area including Gulfport, Antero, PDC, Rex Energy, and CONSOL. The remaining 130,000+ net acres are located in the oil window of the Utica Shale and are largely HBP, offering potential upside in the future. Eclipse closed this acquisition in June 2013.

On June 19, 2014, Eclipse priced its initial public offering and began trading on the New York Stock Exchange under the ticker "ECR" the following morning. Through the offering, the company raised ~$550 million of net primary proceeds and ~$225 million of net secondary proceeds. The $27.00 IPO price implied a total company equity value of $4.3 billion, translating to >$40,000 per acre, ~40x 2014E EV/EBITDA, and ~7.2x 2015E EV/EBITDA. The company will use the primary proceeds to fund its capital development program and for other general corporate uses. The secondary proceeds were distributed to investors and returned ~29% of then-current capital invested for Fund VIII and Fund VIII Co-Invest and ~22% for Fund IX.

The IPO achieved a premium public valuation and accomplished the goal of capitalizing the company to execute its go-forward development plan, while also returning a meaningful amount of capital to investors. The EnCap Board members retained their seats on Eclipse's Board to help guide continued value creation, and EnCap will seek to prudently and opportunistically exit its stock position in Eclipse over time.

On January 29, 2015, Eclipse closed a $440 million PIPE offering including $315 million from EnCap and management ($29 million to Fund VIII, $218 million to Fund IX, $67 million to the Fund VIII Co-Investment Fund, and $0.6 million to management) and $125 million from outside institutional investors. Fund IX and Fund VIII Co-Investment Fund expanded their commitments to Eclipse by $189 million and $51 million, respectively, ($240 million total) to fund their portion of the PIPE offering. Proceeds from the offering significantly enhanced Eclipse's liquidity position and will be used to fund the company's 2015 capital program. Pro forma for the offering, EnCap and management hold 78% of the company's total outstanding stock.

On June 19, 2015, Eclipse announced the pricing of a $550 million private placement of senior unsecured notes with an 8.875% coupon, maturing in 2023. The notes were priced at 97.903% of face value, resulting in $525.5 million of net proceeds. Approximately $510.7 million of net proceeds from the offering will be used to redeem the company's current outstanding 12% senior unsecured PIK notes due 2018. The remaining net proceeds will be utilized to fund the company's 2015 capital program. This debt offering will provide more conventional debt terms and covenants and easier ability to access the capital markets in the future.

On June 28, 2016, Eclipse announced a follow-on equity offering for 37.5 million shares priced at $3.50 per share, equating to approximately $124 million in net proceeds. Proceeds from this offering will be used to fund the company's 2017 development plan. Subsequently, in December 2016, Eclipse announced the sale of ~9.900 net acres in eastern Noble County and western Monroe County, Ohio for $63.8 million. This acreage was non-core to the overall Eclipse acreage position and included minimal production of ~1 MMcfe/d. Proceeds from the follow-on offering and this divestiture strengthened Eclipse's balance sheet and provided liquidity to adequately capitalize the company to fund its 2017 development plan.

On January 22, 2018, Eclipse closed the previously announced "Flat Castle" acquisition from Travis Peak Resources for $93.7 million of Eclipse stock. The assets consists of ~44,500 net acres in Tioga and Potter Counties, PA. The acreage is contiguous with few unit size restrictions, making it highly suitable for super-lateral development. Eclipse estimates that the acquisition adds over 85 future dry gas drilling locations with EUR's between 2.0 and 2.3 Bcf per 1,000' of lateral. Additionally, the Company entered into an option purchase agreement to acquire Cardinal NE Holdings, LLC ("Cardinal") for an aggregate purchase price of $18.3 million in cash, which ECR subsequently sold to DTE in Q3 2018. Cardinal owned midstream infrastructure with associated gathering rights on the Flat Castle acreage acquired by Eclipse.

On February 28, 2019, Eclipse closed its all-stock merger with Blue Ridge Mountain Resources, Inc. As part of the transaction, Blue Ridge stockholders received consideration consisting of 4.4259 shares of Eclipse Resources common stock for each share of Blue Ridge common stock, before adjustment for a 15-to-1 reverse stock split of Eclipse Resources common stock to be effected concurrently with closing of the Transaction. Upon completion of the merger, Eclipse Resources changed its name to Montage Resources Corporation and now trades on the New York Stock Exchange under the symbol "MR".

On November 13, 2020, Montage closed on its previously announced all-stock merger with Southwestern Energy. Montage shareholders received 1.8656 shares of Southwestern for each Montage share. Upon closing the transaction, EnCap with its Funds collectively owned ~26.2MM shares of Southwestern and Fund IX held ~13.8MM shares of Southwestern (including ~4.7MM shares held via Excalibur), representing ~3.7% and ~1.9% ownership, respectively. Currently, Fund IX holds 1.2% ownership in

Southwestern (including the shares held via Excalibur) after the company acquired Indigo Natural Resources in a $2.7 billion transaction including $1.6 billion in stock.

Recent Events

We intend to closely monitor the performance of SWN and opportunistically exit the stock when market conditions justify doing so.

Valuation ($000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Jun-13	$547,244	$73,605	$45,301	$118,906	0.22x	N/A

Protégé Energy Holdings III LLC

Company Description

Protégé Energy III, LLC ("Protégé III") is a Tulsa, Oklahoma-based privately held oil and gas company formed to pursue oil/liquids-rich opportunities in the onshore U.S. through a combination of (i) producing property acquisitions with significant development upside and (ii) low-risk drilling in areas with stacked pay. The management team is led by Marty Thalken, a seasoned oil and gas executive with extensive experience successfully executing both acquire-and-exploit and low-risk drilling strategies. Protégé III represents Mr. Thalken's third consecutive partnership with EnCap, a relationship that began in 2004 with the formation of Protégé I which sold for $94 million in 2008, generating a 2.1x ROI and 35% IRR for Fund IV. Most recently, Mr. Thalken and EnCap formed Protégé II which sold in 2012 and is expected to ultimately generate a 2.2x ROI and 44% IRR for Fund VII. Prior to partnering with EnCap, Mr. Thalken served as Acquisitions and Planning Team Leader of the Mid-Continent Region for Newfield Exploration and Vice President of Acquisitions for Vintage Petroleum (sold to OXY in late 2005 for $3.5 billion) where he was involved in over 110 asset and corporate-level transactions totaling $1.8 billion.

While Mr. Thalken had the opportunity to retain his Protégé II management team, he ultimately chose to build a new, high-powered management team that is capable of taking Protégé III to the next level. Together, the team has a cohesive personality and mindset developed from past relationships and a history working together as well as extensive experience in both A&D (collectively acquiring in excess of $3 billion in producing properties) and building and operating significant greenfield acreage positions.

Cinco Oil & Gas, LLC ("Cinco") was a privately-held, Dallas-based independent oil and gas company formed to pursue lease-and-drill opportunities and proved reserve acquisitions with an initial focus on the Eagle Ford and Powder River Basin. Cinco is led by Jon Glass (CEO) and a management team consisting of Ed Travis (SVP-COO), Wayne Stoltenberg (SVP-CFO), Chris Kidd (SVP-Business Development & Land), Craig Pollard (VP-Exploration) and Leigh Prieto (VP-CAO). This group worked together for over six years at Cinco Resources, Inc. The group's skill sets are highly complementary and together their experience spans all of the major upstream oil and gas disciplines. Each member has substantial, relevant experience and industry contacts from past roles at companies including Brigham, Wynn Crosby, Bear Stearns, Nadel & Gussman, Netherland Sewell and Pioneer Natural Resources.

Transaction Summary

In September 2013, EnCap and management formed Protégé III with a $300 million total equity capitalization, with Fund IX committing $294 million (98%) and management contributing the remaining $6 million (2%). In September 2016, Protégé III's equity commitment was expanded to $500 million, with Fund IX increasing its commitment to $490 million (98%) and management expanding its commitment to $10 million (2%). The investment is structured in the form of common equity with Fund IX receiving 98% of distributed cash until an 8% IRR and 1.25x ROI is earned; thereafter, distributions are allocated on a graduated basis until higher IRR and ROI targets are met. Fund IX holds a majority position on the company's Board of Managers.

In January 2014, Fund IX committed $299 million and management committed $4 million, providing a total equity commitment of $303 million to Cinco upon closing. In addition, Yorktown Partners, LLC and EnCap Fund VII contributed Powder River basin acreage valued at $54 million and $33 million, respectively, to Cheyenne River LLC, operated by Cinco Oil & Gas. The investment is structured in the form of common equity with Fund IX receiving 99.67% of distributed cash until an 8% IRR or 1.25x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

In March 2019, EnCap closed on the consolidation of Cinco's Atascosa County, Texas assets under the management of Protégé III. The assets consist of ~13k net acres and ~1,800 boepd production in Atascosa County, Texas targeting the Eagle Ford. The combined assets have a unfunded equity commitment of $265 million which includes the release of $15.8 million of Cinco's remaining commitment.

Post-Investment Activity

At inception, in a mid-$4 gas environment, Protégé focused on levering its success in Appalachia to build a Utica extension play in southern Washington County, Ohio. The company assembled a ~17,000 net acre position and drilled one horizontal test well in late 2015. Despite encouraging early-time results, the well's production rate dropped below type curve after three months due to an increase in water cut. Management believes there is value to be realized from the asset but the well underperformance combined with weak gas prices, challenged basis differentials, and acreage expirations led to a decision to limit capital spending in the play and to evaluate strategic alternatives. In early 2016, Protégé made the decision to pivot its primary focus to the Eagle Ford.

In Q3 2016, Protégé III closed a $310MM acquisition of Newfield's Eagle Ford assets, which consisted of ~22,800 net acres and ~7,100 boe/d of production in Dimmit and Atascosa Counties, Texas.

EnCap has decided to transition management of Protégé to Fund X-backed Verdun in order to realize overhead efficiencies in the challenged current market environment. Verdun has a complementary asset base in the Eagle Ford and has a demonstrated ability to execute on development of its assets. An MSA was signed, and Verdun took over operations in Q2 2020.

Recent Events

Protégé continues to develop its asset base within cash flow. We expect Protégé to continue the distribution program that they initiated in December 2021. As a reminder, Protégé is currently being managed by Verdun Oil and Gas through an MSA arrangement.

Valuation ($000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Sep-13	$516,951	$232,041	$467,051	$699,092	1.35x	N/A

Excalibur Resources, LLC

Company Description

Excalibur is a privately-held, Dallas-based independent oil and gas company formed to pursue an acquire-and-exploit, asset-aggregation strategy focused on building a largely HBP asset base in and around existing vertical production from low-permeability, conventional reservoirs that can be economically developed using modern horizontal drilling and completion techniques. Excalibur is comprised of a group of talented industry veterans with close to 200 years of collective experience across all of the major upstream oil and gas disciplines and is led by Bob Unger (CEO). Mr. Unger will draw upon his experience at Marathon as Northern U.S. Business Unit Leader and J.M. Huber as SVP of the Northern Business Unit. Management initially plans to focus on the Western Anadarko Basin where attractive basin attributes are present, and the team has extensive prior experience and contacts that will allow for unique, proprietary opportunities and operational advantages.

Travis Peak Resources, LLC ("Travis Peak") is a privately-held, Austin-based independent oil and gas company formed to pursue the identification, acquisition and exploration of oil and gas resource plays in various U.S. basins. Travis Peak is led by Jim Addison, the former General Manager of Newfield Exploration's Rockies and Mid-Continent Business Units. Mr. Addison is a proven value creator and a skillful and experienced leader. The other senior management team consists of George Grunau (SVP-Exploration), Clint Calhoun (VP-Engineering), Jerry Ilseng (VP-Operations), and Ben Ellis (CFO). Mr. Addison and Mr. Calhoun previously worked together at Newfield and Mr. Grunau and Mr. Ilseng previously held leadership roles in public and private companies including United Resources, Samson Resources, Exxon, Pioneer Natural Resources and Amoco Production. Management plans to employ a two-pronged strategy: (i) be a "fast-follower" to resource plays in areas with higher-certainty, executable returns and (ii) acquire and exploit fields in more mature, conventional areas utilizing modern drilling and completion technologies.

Transaction Summary

In September 2013, Fund IX committed $198 million to Excalibur and management committed $2 million, providing a total equity commitment to Excalibur of $200 million.

In November 2013, Fund IX initially committed $248.5 million to Travis Peak and management committed $1.5 million, providing a total equity commitment to Travis Peak of $250 million. Subsequently, through a series of commitment expansions, the total equity commitment was increased to $541 million, comprised of $539 million from Fund IX and $2 million from management.

Post-Investment Activity

Excalibur built an asset in the Western Anadarko Basin (Caddo, Custer, and Dewey Counties, OK) consisting of ~44k net acres of deep rights (~30k net acres prospective for the STACK), ~39k net acres of shallow rights (prospective for Pennsylvanian-aged Sands), and ~1,100 Boe/d of associated production. The company initially entered the area in search of shallow, Pennsylvanian-aged sand plays. However, management recognized the evolution of the deeper STACK play as it expanded northwest and quickly began seeking acquisition opportunities to gain access to the shallower targets, as well as the deeper STACK horizons like the Meramec, Osage, and Woodford.

In Q2 2016, Excalibur entered into a JV with Tall Oak Midstream II ("Tall Oak II"), an EnCap Flatrock portfolio company, whereby Excalibur dedicated the majority of its acreage in exchange for a 17.5% interest in Tall Oak II's system that is focused on capturing acreage and volume dedications throughout the NW STACK extension. Furthermore, over the course of its history, Excalibur drilled several wells in various shallow targets (Cleveland, Red Fork, and Marchand) and wells in the deeper Meramec target with mixed results. Excalibur's deep Meramec wells proved the ability to deliver prolific and consistent resource, but the economics were challenged by depressed gas and NGL prices, as well as D&C cost overruns.

After inception, Travis Peak pursued a dry gas Utica project in Tioga and Potter Counties, PA. Ultimately, the company assembled a largely contiguous ~44,500 net acre position (84.2% NRI) at an average cost basis of ~$2,650/net acre. Travis Peak completed its first and only horizontal well in January 2017, which reinforced the resource potential of the acreage. In January 2018, Travis Peak sold this asset to Eclipse Resources Corporation (NYSE: ECR) for $93.7 million in the form of ECR stock. Subsequently, ECR merged with Blue Ridge Mountain Resources, Inc., and the combined entity changed its name to Montage Resources Corporation (NYSE: MR) and underwent a reverse stock split. The original equity consideration is now represented by 2.5 million shares in MR. Travis Peak also retained an ORRI portfolio across the position originally sold to ECR.

In November 2016, Travis Peak entered the Merge play of the Anadarko Basin, positioned between the STACK and SCOOP (primarily in Canadian, Grady, and McClain Counties, OK), with a $70 million acquisition of ~9,800 net acres. The company ultimately grew its position to ~45,000 net acres at an all-in average cost basis of ~$5,800 per acre through a series of negotiated deals and drilled 20 operated horizontal wells with mixed results.

In December 2017, Travis Peak executed a JV agreement with Cardinal Midstream III, LLC (“Cardinal III”), an EnCap Flatrock portfolio company. The JV, Iron Horse Midstream, LLC (“Iron Horse”), operates a rich gas gathering and processing system in the Merge play. In Q2 2018, Cardinal III increased the scale and footprint of the Iron Horse system by bringing Camino Natural Resources, a Natural Gas Partners (“NGP”) portfolio company, and NGP into the JV. With an additional ~100,000 net acres dedicated from Camino, Iron Horse controls ~150,000 net acres in the play. Iron Horse is owned 25% by Cardinal III, 40% by Camino, 25% by NGP, and 10% by Fund IX.

In Q3 2018, Travis Peak ran a fully marketed sales process of its Merge upstream assets with TPH as its advisor. After receiving no acceptable third party bids, EnCap and Paloma Partners IV, LLC (“Paloma IV”), a Fund IX portfolio company, negotiated a $173.0 million asset value for the properties. Accordingly, in Q1 2019, Paloma IV assumed Travis Peak’s existing debt and issued $106.7 million of Paloma IV equity to Fund IX. EnCap viewed this consolidation as a solution to high-grade the management of the assets and operations, while increasing scale and reducing G&A. Recently, Travis Peak’s remaining assets (10% equity ownership in Iron Horse, 2.5 million shares of MR stock, and ORRI portfolio in Tioga and Potter Counties, PA) were transferred under Excalibur, which is 100% owned by Fund IX.

In Q4 2019, Excalibur contributed its STACK upstream assets to Paloma IV. As part of the negotiated transaction, Paloma IV assumed Excalibur’s balance sheet, which resulted in no equity ownership adjustment for Paloma IV’s members. At closing, Excalibur’s contributed assets included ~40,000 net acres with ~15 MMcfe/d (95% gas and NGLs). This combination high-graded management of the assets and operations under Paloma IV and reduced the overall G&A burden. Excalibur retained the equity interest in the Tall Oak II JV. In Q4 2020, Southwestern Energy (NYSE: SWN) closed its all-stock transaction with MR, and Excalibur received 4.7 million shares in exchange for its existing MR position.

In Q2 2021, Tall Oak II was sold to Tailwater Capital for cash consideration and also retained an asset with future value.

Recent Events

Excalibur, owned 100% by Fund IX, will continue to hold the following assets: (i) 10% equity ownership in Iron Horse, (ii) 4.7 million shares of SWN stock, and (iii) a portfolio of ORRIs in Tioga and Potter Counties, PA.

Valuation ($000’s)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Oct-13	$545,820	$14,645	$85,179	$99,824	0.18x	N/A

Paloma Partners IV, LLC

Company Description

Paloma IV is a privately-held Houston-based independent oil and gas company led by Chris O'Sullivan (President), John Hastings (EVP-Geology), Mark Gabrisch (EVP & COO) and Bobby Poirrier (CFO). EnCap has a significant track record of value creation with Mr. O'Sullivan from its Fund III investment in San Juan Partners in 1998 (67.2% IRR, 1.8x ROI), its Fund VI investment in Paloma Barnett in 2007 (198% IRR, 2.1x ROI), its Fund VII investment in Paloma II (78% IRR, 3.3x ROI), and its Fund VIII and IX investments in Paloma III (46% IRR, 2.1x ROI). Paloma IV is focused on a leasing and development strategy targeting U.S. resource plays. Similar to their strategy in Paloma III, Management will use greenfield leasing and acquisitions to build a meaningful footprint in a play, then utilize "trade" acreage to consolidate their land position into drillable blocks in which the company will have a high working interest.

Transaction Summary

In May 2014, Fund IX committed $348.0 million and Macquarie committed $40.0 million to Paloma IV. Management committed $12.0 million, providing a total equity commitment of $400.0 million to the company. In August 2017, Paloma IV's equity commitment was expanded to a $550.0 million total commitment, including $478.5 from Fund IX, $55.0 million from Macquarie, and $16.5 million from the Paloma management team. The investment is structured in the form of common equity with Fund IX receiving a proportionate share of distributions until a 5% IRR is achieved on a deemed equity amount negotiated to better align management and EnCap. Thereafter, distributions are allocated on a graduated basis after certain ROI and IRR targets are met. EnCap holds a majority position on the Board of Managers.

Post-Investment Activity

Following inception in May 2014, Paloma IV performed technical and land studies in several areas and evaluated multiple opportunities. Through this analysis, Paloma IV built a large contiguous position in the Tuscaloosa Marine Shale primarily in Tangipahoa and St. Helena Parishes, LA. In Q4 2015, Paloma IV entered into a JV agreement encompassing the entirety of its TMS assets with Australis Oil & Gas (ASX:ATS). Per the terms of the agreement, Paloma IV conveyed a 50% interest in its properties in exchange for $16 million of cash and committed to spending $10 million of this consideration to maintain and increase the scale of this asset alongside its partner. During Q4 2017, Paloma sold its remaining 50% interest in the TMS to Australis for $3.1 million to exit the TMS and fully focus on the STACK.

In Q1 2016, Paloma IV initiated a greenfield leasing and land acquisition program in the core of the STACK, targeting Blaine, Kingfisher and Canadian Counties, OK. In early 2017, the company initiated its operated development program. At year-end 2018, the company had amassed ~33,500 net acres after a series of acquisitions, divestitures, trades, and greenfield leasing with an average net cost basis of ~$7,800/acre.

In Q1 2019, Travis Peak Resources, LLC ("Travis Peak"), a Fund IX portfolio company, contributed its Merge upstream assets to Paloma IV for a negotiated $173.0 million asset value. Accordingly, Paloma IV assumed Travis Peak's existing debt and issued $106.7 million of Paloma IV equity to Fund IX. Travis Peak's contributed assets included ~45,000 net acres primarily in Canadian and Grady Counties, OK. EnCap viewed this consolidation as a step to high-grade management of the assets and operations, while increasing scale and reducing G&A. Additional information on Travis Peak and its history is provided under Excalibur Resources, LLC ("Excalibur"; a Fund IX portfolio company).

In Q4 2019, Excalibur contributed its STACK upstream assets to Paloma IV. As part of the negotiated transaction, Paloma IV assumed Excalibur's balance sheet, which resulted in no equity ownership adjustment for Paloma IV's members. Excalibur's contributed assets included ~40,000 net acres in Caddo, Custer, and Dewey Counties, OK with ~15 MMcfe/d (95% gas and NGLs). Similar to the consolidation of Travis Peak's upstream assets, this combination high-grades management of the assets and operations under Paloma, while also reducing the overall G&A burden. Of note, the Excalibur entity holds a 17.5% equity interest in Excalibur's JV with Tall Oak Midstream II and the remaining assets of Travis Peak not acquired by Paloma IV (10% equity interest in Iron Horse, 4.7 million shares of Southwestern stock, and a portfolio of ORRIs covering Travis Peak's legacy Tioga and Potter Counties, PA asset).

Recent Events

Currently, Paloma IV holds ~68,000 net acres in the STACK and Merge plays with ~28 MBoe/d of net production. Well economics across the greater STACK and Merge plays were historically challenged until recently, primarily due to parent/child spacing issues but also unfavorable commodity prices (particularly on gas and NGLs given the higher GOR nature of the play). Optimal spacing (significantly wider than initially tested) coupled with stronger commodity prices, has driven compelling drilling economics across Paloma's acreage position. The company plans to run one rig and one completion crew for the remainder of 2023 focused on liquids-weighted development.

The company has successfully reduced debt below 1.0x leverage and has made $100 million in gross distributions from cash flow. Additionally, management has added meaningful economic inventory through trades, swaps, farmouts, and organic leasing. We continue to realize significant value generation through the drill bit and expect to continue distributions from cash flow in late 2023.

Valuation ($000's)

The Unrealized Value is based on the PV10 of the future cash flow stream on a risk adjusted basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
May-14	$470,619	$90,075	$570,694	$660,769	1.40x	N/A

EnCap Minerals, LLC

Company Description

EnCap Minerals, LLC ("EnCap Minerals") was formed in June 2021 with the consolidation of core Permian mineral assets from multiple EnCap portfolio companies held in Fund IX (OGX III), Fund X (Fortis I, Fortis II, Fortis III, OGX IV), and Fund XI (OGX V, Pegasus I). Each entity received equity ownership in the new EnCap Minerals platform in exchange for the assets contributed, resulting in Fund IX, Fund X, and Fund XI owning 9.8%, 52.5%, and 36.6% of EnCap Minerals, respectively. The balance of the ownership, 1.1%, rests with the current management investors in Pegasus I. EnCap Minerals holds a premier portfolio of 125,000 core net royalty acres in the Permian Basin (60% Delaware Basin and 40% Midland Basin) with diversified and highly undeveloped assets positioned for future organic growth with no capital requirements.

EnCap Minerals is managed by the Pegasus team pursuant to a Management Services Agreement. Overhead is allocated to EnCap Minerals and Pegasus II using a methodical approach that is reviewed and approved by EnCap. As part of the consolidation, EnCap formally separated ties with the Fortis and OGX/Santa Elena teams, but several management members were retained to bolster the go-forward management team. Overall, we believe the consolidation of assets under EnCap Minerals will meaningfully reduce overhead, enhance distributions, and provide scale that will create differentiated opportunities for value creation and an ultimate monetization. EnCap Minerals will closely monitor the markets for a potential IPO, outright sale, or additional consolidation opportunities with other large private mineral interests using equity consideration.

Transaction Summary

In June 2021, EnCap Minerals was formed with the consolidation of core Permian interests. The existing remaining commitments of the Fund IX (OGX III) and Fund X (Fortis I, Fortis II, Fortis III, OGX IV) entities involved in the consolidation were carried over to EnCap Minerals to provide for additional future flexibility should a considerable deal arise requiring a cash component (subject to Advisory Board approval given the Funds involved).

The management interests of Fortis III, OGX III, OGX IV, and OGX V were fully repurchased prior to the consummation of EnCap Minerals, and the EnCap Funds hold the common equity interests directly related to these investments. The original management incentive structures remain for Fortis I, Fortis II, and Pegasus I, which are subject to an 8% IRR on original invested capital. Thereafter distributions are allocated on a graduated basis as certain ROI targets are met. EnCap holds a majority position on the Board of Managers for EnCap Minerals.

Recent Events

The EnCap Minerals portfolio has realized significant organic growth through ongoing and increased industry activity across its position in the Permian Basin. Approximately half of all Permian rigs have been running on EnCap Minerals' position over the past few quarters. As such, we anticipate continued production growth in 2023 based on current activity levels.

In 1Q 2023, EnCap Minerals made ~$120 million in distributions ($43 million to Fund XI, $62 million to Fund X, and $12 million to Fund IX). The company will continue to make monthly distributions on an ongoing basis.

Valuation ($000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	Projected ROI	Projected IRR
Jan-15	$207,059	$145,584	$301,077	$446,661	2.16x	N/A

Common Resources III, LLC

Fully Realized

Company Description

Common Resources III, LLC, is a Woodlands, Texas-based, start-up oil and gas company focused on creating value opportunistically through the drill-bit. EnCap first partnered with the Common management team in Common I, a Fund VI and Fund VII portfolio company that sold in May 2010 for $805 million, providing the EnCap funds with a 3.0x ROI and 119% IRR. Common I successfully built core acreage positions in the Haynesville and Eagle Ford Shales, drilling wells in each of these areas to establish their resource potential. Common II, a Fund VII and Fund VIII portfolio company, was formed shortly thereafter and sold in July and August 2012 for proceeds of $178.7 million and $24.7 million of related holdbacks, providing the EnCap funds with a 1.6x ROI and 50% IRR. The Common III management team consists of the same core group of individuals that were instrumental in the value creation process in Common I and II and will be led by Tom Jones (CEO) and Roger Jarvis (Chairman). Mr. Jones has over 25-years of industry experience in various senior engineering and operations roles with Chevron, Torch Energy and others. Mr. Jarvis previously served as President and CEO of Spinnaker Exploration from its inception in 1996 through its eventual sale to Norsk Hydro for $2.6 billion in December 2005. Additional management members consist of the core technical and operating team from Common I and II.

Transaction Summary

EnCap Fund VIII and Pine Brook Road Partners (who partnered with EnCap in Common I and II) each committed $200 million to Common III for a total Investor Group commitment of $400 million. Management committed $13 million providing the company with a $413 million equity commitment. In January 2013, 50% of Fund VIII's commitment ($100.0 million) was transferred to Fund IX. The investment is structured in the form of common equity with the investor group receiving 96.9% of distributed cash until an 8% IRR and thereafter distributions will be allocated on a graduated basis until certain IRR and ROI targets are met. The board of directors is jointly controlled by EnCap and Pine Brook with each having two representatives of a seven-member board. EnCap's approval is required for all material board decisions.

Post-Investment Activity

Common III built positions in three areas of the Permian Basin. In the Texas Panhandle, the company accumulated ~31,500 net acres in Potter and Carson Counties targeting the Canyon Lime. Common's first operated well was non-commercial and no additional activity is currently planned. In the Circuit Rider prospect, the company accumulated ~20,100 net acres in Gaines and Terry Counties, TX, targeting the Woodford Silt. Common has drilled two non-commercial wells and has no further development planned. The company's third project is the Glock Prospect, where Common has acquired ~24,300 net acres on the western edge of the Delaware Basin in Reeves County, TX. In Q4 2015, Common III entered into an agreement to acquire ~1,100 net acres in Martin County targeting primarily the Wolfcamp A and Lower Spraberry.

As part of managing our portfolio with an emphasis on overhead and capital efficiency, we removed the Common III management team in 2016 and subsequently contracted a third party to manage the assets. In Q2 2017, the company sold the vast majority of its remaining assets through multiple transactions.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jan-13	$60,411	$11,705	$0	$11,705	0.19x	(42.0)%

Paloma Partners III, LLC

Fully Realized

Company Description

Paloma Partners III, LLC, is a privately-held Houston-based independent oil and gas company led by Chris O'Sullivan, John Hastings, Mark Gabrisch and Bobby Poirrier. EnCap has a significant track record of value creation with Mr. O'Sullivan from its Fund III investment in San Juan Partners in 1998 (67.2% IRR, 1.8x ROI), its Fund VI investment in Paloma Barnett in 2007 (198% IRR, 2.1x ROI), and its Fund VII investment in Paloma II (78% IRR, 3.3x ROI). Paloma III focused on a leasing and development strategy targeting the Utica Shale. Similar to their strategy in Paloma II, Management used greenfield leasing and acquisitions to build a meaningful footprint in Utica, then "traded" acreage to consolidate its land position into large drillable blocks with a high working interest.

Transaction Summary

In September 2012, Fund VIII committed $250 million and minority investors committed $60 million to Paloma III. Management committed $10 million, providing a total equity commitment of $320 million to the company. In January 2013, 50% of Fund VIII's commitment ($125.0 million) was transferred to Fund IX. The investment is structured in the form of common equity with Fund VIII, Fund IX and co-investors receiving 96.8% of distributed cash until a 9% IRR is achieved, and thereafter distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap held a majority position on the Board of Managers.

Post-Investment Activity

Based on an extensive land and economic analysis, Paloma III began building an acreage position in 2013 targeting the Utica Shale in Ohio. The company accumulated approximately 23,700 net acres primarily in Belmont and Jefferson Counties, OH, offsetting several active operators. Paloma III initiated discussions with nearby acreage holders to execute trades/swaps to block-up its acreage position and create a more consolidated package.

During the course of discussions with offset operators regarding acreage trades, Gulfport Energy made an offer to acquire Paloma III. The parties executed an agreement for cash consideration of approximately $300 million with a $75 million deposit funded at signing. Simultaneous with the announcement of the transaction, Gulfport initiated a secondary equity offering as well as a senior notes placement, the proceeds of which were used, in part, to fund the acquisition. The acquisition closed on August 31st and $272.5 million was distributed to all investors ($99.4 million net to Fund VIII and $99.4 million net to Fund IX). An indemnity escrow holdback of 10% ($8.0 million net to Fund VIII and $8.0 million net to Fund IX) of the unadjusted purchase priced was withheld but ultimately distributed in September 2016 yielding a total ROI of 2.1x net to Funds VIII and IX ($51 million invested from each) and a 46% IRR.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jan-13	$51,203	$107,596	$0	$107,596	2.10x	46.2%

Payrock Energy, LLC

Substantially Realized

Company Description

Payrock Energy, LLC, is a privately held Oklahoma City based independent oil and gas company focused on the Mississippi Lime play in Kansas and Oklahoma. Payrock is led by Rick Kirby (CEO), Steve Henley (VP Operations), Chad Ford (VP Land), John Zimmerman (VP Finance), and Tim Fahler (VP Reservoir Engineering). The team is well-seasoned with over 108 years of combined experience in multiple disciplines throughout the oil and gas industry. Most recently, the team worked together at SandRidge and was involved in the company's initial entry into the Mississippi play where they were responsible for drilling over 250 wells in the area. Payrock plans to leverage management's regional expertise and relationships to execute a strategic entry into the most economically compelling areas of the Mississippian play for horizontal development. The company intends to build a consolidated land position through greenfield leasing and utilize the drill-bit strategy and nearby industry activity to demonstrate the economics of the play.

Transaction Summary

In November 2012, Fund VIII committed $247.5 million and management committed $2.5 million, providing a total equity commitment of $250 million to the company. In January 2013, 50% of Fund VIII's commitment ($123.75 million) was transferred to Fund IX. The investment is structured in the form of common equity with Fund VIII and Fund IX receiving 99% of distributed cash until an 8% IRR is achieved, and thereafter distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post-Investment Activity

Payrock amassed ~61,000 net acres as an early mover in the core of the STACK play for an average cost basis of approximately $1,330 per acre. The acreage, primarily in Kingfisher and Canadian Counties, Oklahoma, offsets major operators such as Newfield, Devon, and Cimarex, among others, and is prospective for the Meramec and Woodford shale formations, with potential upside in the Osage.

On August 1, 2016, Payrock closed on the sale of its ~61,000 net acres and ~9,000 Boe/d (50% oil; 75% liquids) of production to Marathon Oil Corporation (NYSE: MRO) for $887.5 million in an all-cash transaction. After accounting for debt and other miscellaneous purchase price adjustments, Payrock ultimately received $790.1 million in cash proceeds, equating to a 4.5x ROI and 85% IRR net to Funds VIII and IX.

Recent Events

During Q3 2022, EnCap entered into an agreement with 89 Energy to sell its consolidated STACK assets (including Rumble Minerals, LLC) for ~$230 million of total consideration. Payrock's remaining assets in Rumble Minerals represented ~5% of the total consolidated assets sold to 89 Energy. At closing in October 2022, Payrock distributed ~$3.1 million to Fund IX. In addition to the proceeds received at closing, Payrock has the opportunity to receive ~$500k of proceeds from holdbacks (~$250k net to Fund IX).

Valuation ($000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jan-13	$66,832	$308,630	$309	$308,939	4.62x	86.0%

Modern Resources Inc.

Fully Realized

Company Description

Modern Resources Inc. was a privately-held Calgary, Canada based oil and gas company that will pursue proved reserve acquisitions with resource upside in the Western Canadian Sedimentary Basin. Modern was led by Dan O'Byrne, prior to joining Modern Resources, Dan was the CEO of Primavera Resources, a private Canadian oil and gas Company and is well regarded in the E&P industry in Calgary. Mr Q'Byrne is joined by Francois Legault (VP-Geosciences), Derek Mendham (CFO), Jason Chadwick (VP-Land) and Geoff Keyser (VP-Engineering). Modern's Acquire and Exploit strategy focused on the traditional producing fairway of the Western Canadian Sedimentary Basin. They looked for assets with a strong production component and with meaningful resource-type upside behind pipe in plays such as the Montney, Duvernay and Cardium.

Transaction Summary

Modern was formed in March 2013 with a C$303 million equity commitment, consisting of C$100 million from EnCap Fund IX ($105 million USD commitment approved), C$100 million from ARC Financial Corporation, C$100 million from ARC-related investors (cumulatively referred to as the "Investor Group") and C$3 million from management. The transaction was sourced by ARC and represents the largest commitment ARC has made to a start-up team. The investment is structured in the form of common equity in a Canadian corporation with the Investor Group initially receiving 99.0% of the available dividends. Performance and incentive warrants were issued to management and employees to purchase up to 17.5% of the company as ROI hurdles are met. Governance is shared between EnCap and ARC, where the consent of both parties is necessary and sufficient for an action of the Board.

In August of 2014, Modern's equity commitment was expanded. This expansion was a C$50 million increase in EnCap's equity commitment, bringing EnCap's total commitment to C$150 million. In conjunction with EnCap's increased equity commitment, ARC Financial Corporation increased its commitment by C$15 million, ARC-related investors increased their aggregate commitment by C$12.8 million and management increased its commitment by C$1.2 million, representing a total equity capitalization of C$381.6 million.

In January of 2016, Modern's equity commitment was expanded further. This expansion was a C$20.6 million increase in EnCap's equity commitment, bringing EnCap's total commitment to C$170.6 million. In conjunction with EnCap's increased equity commitment, ARC Financial Corporation increased its commitment by C$15.1 million, ARC-related investors increased their aggregate commitment by C$13.6 million and management increased its commitment by C$0.8 million, representing a total equity capitalization of C$432.0 million.

Post-Investment Activity

Modern acquired ~265,000 net acres through a combination of Crown leasing and acquisitions in its Kakwa and Greater Wapiti focus areas in the Western Canadian Sedimentary Basin. The company built a production base that had a productive capacity of ~20,000 boe/d and produced ~9,000 boepd (72% gas, 28% liquids). Modern's initial focus area was where Tourmaline and Encana drilled a series of outlier wells in the Spirit River formation (one two-well pad came on at 57 MMcfpd and multiple 20+ MMcfpd wells). The company undertook a drilling program focused largely on resource validation and completed ~22 horizontal Wilrich/Falher wells and ~45 Cardium horizontals. In Q2 2020, former CEO and President Chris Slubicki stepped down and was replaced by Dan O'Byrne, who previously served as CEO and President of Primavera Resources, a former ARC portfolio company. In October 2020, the company signed a Share Purchase Agreement (SPA) to sell the business to Tourmaline Oil Corporation (TOU:TO) for $CAD 73.75MM cash, 1.5MM TOU shares and the assumption of up to $CAD 44MM of Net Debt. The transaction closed in November 2020 and Fund IX received $USD 14.4MM in cash and 592,351 shares of

Tourmaline stock. In December 2020, EnCap sold all of the 592,351 shares in the open market and distributed those proceeds to LPs.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Mar-13	$128,896	$30,502	$0	$30,502	0.24x	(23.2)%

Felix Energy, LLC

Substantially Realized

Company Description

Felix Energy, LLC, is a privately-held, Denver-based independent oil and gas company focused on the identification, acquisition and exploration of liquids-rich resource plays in various U.S. basins. Felix is led by Skye Callantine (CEO), Zach Holland (VP-Engineering), Bill Arnold (VP-Operations), Michael Horton (VP-Land) and King Grant (CFO). Mr. Callantine was formerly an executive with Chesapeake Energy and was primarily responsible for evaluating, capturing and developing Chesapeake's Eagle Ford, Woodbine and Haynesville Shale positions. While at Chesapeake, Mr. Callantine built and developed Chesapeake's Eagle Ford Shale position from a legacy lease position to over 700,000 net acres and 800 producing horizontal wells. Overall, the management team has an impressive track record of creating value and shares a similar mindset with EnCap regarding risk management, capital allocation and opportunity capture.

Transaction Summary

In April 2013, Fund IX committed $392.8 million, family and friends of management committed $5.7 million and the management team committed $2.1 million, providing a total initial equity commitment of $400.0 million to the company. In March 2015, the commitment was expanded pro-rata to $500.0 million ($490.3 million net to Fund IX). The investment is structured in the form of common equity with the Investor Group receiving 99.5% of distributed cash until an 8% IRR and 1.0x ROI is achieved, and thereafter distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post-Investment Activity

Since closing its equity commitment in April 2013, Felix evaluated multiple opportunities in different basins, eventually securing two liquids-rich positions in the Anadarko Basin of Oklahoma: (i) the STACK project in Kingfisher, Canadian and Blaine Counties, OK, targeting the Meramec and Woodford Shales and (ii) a farm-out in Dewey and Custer Counties, OK, from a large U.S. Independent targeting the conventional Cottage Grove formation, which was later divested with the proceeds being used for development in the STACK play.

Felix amassed nearly 80,000 net acres in the STACK through a combination of strategies including ground-floor leasing, farm-in opportunities and acquisitions. The company formed a joint venture with Tall Oak Midstream, owned 60% by Tall Oak and 40% by Felix, to gather and process oil and gas from an Area of Mutual Interest ("AMI") covering approximately 2.3 million acres in the central Oklahoma Anadarko Basin, including the STACK. The joint venture provided the midstream infrastructure for all of Felix's wells within the STACK.

Additionally, during Q2 2015 Felix partnered with Phillips Energy Partners, an EnCap-backed mineral and royalty interest acquisition company, to acquire minerals through a 50/50 joint venture targeting the STACK. To date, the company has amassed 5,568 net mineral acres net to Felix within the core of the STACK. We feel as if the minerals acquired to date represent meaningful future value for Felix.

On January 7, 2016, Felix closed its sale of 100% of the company's upstream assets to Devon ("DVN") for total consideration of $1.9 billion. The purchase price consists of $850.0 million in cash and 23.47 million shares of DVN common stock. At closing, and after accounting for debt and other miscellaneous purchase price adjustments, Felix received $447.7 million of cash from DVN and 23.47 million shares of DVN common stock. An additional $237.5 million of cash proceeds due to Felix were placed in an escrow account for potential title and indemnity related matters and will be distributed over three separate periods: (i) $95.0 million of title holdback will be released 30 days post-closing assuming all potential title disputes have been resolved, (ii) $47.5 million of indemnity escrow will be released nine months after closing and (iii) the remaining $95.0 million of indemnity escrow will be released 12 months after closing.

In addition to the above mentioned sale to DVN, Felix received meaningful consideration for its minority ownership in TOM-STACK, a subsidiary of Tall Oak. EnLink, a publicly traded MLP that is comprised primarily of DVN's legacy midstream assets, announced the acquisition of Tall Oak for $1.55 billion in cash and ENLC common units, the publicly traded General Partner of ENLK. The purchase price equated to $1.3 billion in cash and 17.05 million shares of ENLC stock. Net to its 40% ownership interest in TOM-STACK, Felix received $246.1 million in cash and 5.56 million shares of ENLC common units at closing.

Total cash and stock consideration net to Felix's interest for the sale of both its upstream assets and midstream ownership totaled over $2.4 billion. Fund IX received ~$1.26 billion in cash distributions, representing a realized 3.3x ROI on its $381.9 million of invested equity.

Felix still maintains its ownership in Sooner Trend Minerals, LLC, an entity formed to acquire ORRIs and minerals in the STACK play. Felix carved off a ~4% ORRI across the majority of its leasehold position that was sold to Devon and accumulated a sizable portfolio of net mineral acres to-date. During Q4 2016, Felix sold a small portion of its minerals portfolio (~20% of its entire position) to an undisclosed purchaser for ~$90 million of cash proceeds. The sale represented a 7.5x realized ROI based on the cost basis of the minerals and ORRIs sold in the transaction. Post this asset sale, Felix still holds an extensive portfolio of minerals and ORRIs in the core of the STACK play, and we believe these non-cost bearing minerals and ORRIs represent meaningful future value for Felix.

Valuation ($000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Apr-13	$381,879	$1,958,787	$17,176	$1,975,963	5.17x	99.7%

QStar, LLC

Fully Realized

Company Description

QStar is a privately-held, Houston-based independent oil and gas company focused on the identification, acquisition, and exploration of liquids-rich plays in various onshore US basins. QStar is led by Gerald Carman (CEO), David Newman (COO), Charles Close (CFO), Mark Przywara (VP – Geosciences), and John Lodge (VP – Land). Management has an impressive track record of creating value both individually and collectively, most recently with TriTech Energy Capital, which generated a 3.1x ROI and 71% IRR on $22 million of invested capital. QStar's strategy involves employing a data-driven approach, and the company will rely extensively on subsurface data and historical production and well data to identify areas that have yet to be exploited with modern completion techniques. QStar plans to be opportunistic in its approach and will either employ a lease & drill or acquire & exploit strategy, depending on the opportunity set and the associated economics. management will initially focus its efforts across multiple basins in Texas, where it has a great deal of experience and a strong network of relationships.

Transaction Summary

In May 2013, Fund IX committed $147.0 million and management committed $3.0 million, providing a total equity commitment of $150.0 million to the company. In May 2016, Fund IX expanded its commitment to QStar by $400.0 million to $544.0 million. $150 million of this expansion was in the form of a bridge loan, which was repaid in Q3 2016, providing Fund IX with an ultimate commitment of $394.0 million to QStar. The investment is structured in the form of common equity with Fund IX receiving ~99% of distributed cash until an 8% IRR is achieved. Distributions thereafter will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post-Investment Activity

In 2H 2014, QStar entered into a joint venture and acquired a 25% non-operated working interest in ~19,000 net acres (~4,800 net acres to QStar) in East Texas (Smith, Henderson, Anderson, and Cherokee Counties) prospective for the Goodland Lime (equivalent to the Edwards oil play in South Texas). The company also built a 2,000 net acre operated position, but additional leasing was halted due to commodity prices. Offset operators in the area include EOG, Carrizo, Clayton Williams, and several other independents. QStar exposed minimal capital to this project and shifted its focus to the Midland Basin.

In Q1 2015, the company agreed to acquire 2,150 net acres in Martin and Howard Counties, Texas from Resolute Energy for $42 million. This asset is underpinned by ~$20 million of PDP value at the then-current strip and is 100% HBP. Management believes this position is prospective for the Wolfcamp A, Wolfcamp B, and Spraberry benches. This area is being actively delineated by multiple offset operators including Encana, CrownQuest, Occidental, Energen, and several other independents. Subsequent to the Resolute acquisition closing in May 2015, QStar acquired six additional, small acreage positions in and near the Resolute acreage, resulting in QStar holding ~3,300 net acres at an attractive cost basis (100% HBP and operated).

In Q4 2015, QStar acquired ~10,000 net acres in central/northern Howard County from a large independent at an attractive entry price. This acreage is an eastern extension of the play with less production results but is believed to be highly prospective based on management's technical understanding of the area.

In May 2016, QStar closed on an acquisition of ~17,500 net acres from Endeavor Energy Resources in Howard and Martin counties for ~$360 million, equating to ~$17,700 per net undeveloped acre after backing out PDP PV10 of $56 million. The acquired position is mostly HBP and in the well-delineated core of the northern Midland Basin near QStar's existing core acreage. Shortly after closing, management successfully brought in a partner at a promoted valuation and sold down 25% of its assets (bringing QStar's overall cost basis to <$10,000/acre). This deal represented a transformative transaction for the company and bolstered QStar's acreage position to ~26,000 net acres (pro forma for sell down).

On October 17, 2016, QStar and its 25% working interest partner signed PSAs with SM Energy (NYSE: SM) to sell all of their interests in 35,691 net acres in Howard and Martin counties for total consideration of $1.6 billion (8/8ths), or $1.2 billion net to QStar. The total consideration consisted of $1.1 billion in cash and $500 million in the form of SM's stock. After backing out the allocated 8/8ths PDP value of $51 million, SM paid a blended ~$43,400 per undeveloped acre. Overall, this transaction, which closed on December 21, 2016, allowed QStar to immediately distribute ~$624 million of cash to Fund IX, representing a cash ROI of ~1.8x. With the holdback releases, Fund IX generated a ~2.1x cash ROI and retained additional upside through the 8.2 million shares of SM Energy stock.

In September and October 2018, Fund IX sold ~2.2 million SM shares (~27% of its original position) through public market sales, which generated ~$74 million in net proceeds. In Q2 2020, Fund IX sold ~385k SM shares for ~$2 million in net proceeds, and in Q3 2020, Fund IX sold ~800k SM shares for ~$3 million in net proceeds. In Q4 2020, Fund IX sold ~3.8 million SM shares for ~$16.5 million in net proceeds. In Q2 2021, Fund IX exited the balance of its position for ~$6 million in net proceeds.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jun-13	$338,488	$826,661	$0	$826,661	2.44x	101.7%

Silverback Exploration, LLC

Fully Realized

Company Description

Silverback Exploration is a privately-held, San Antonio-based independent oil and gas company formed to pursue both unconventional and conventional projects through a combination of (i) producing and non-producing property acquisitions, (ii) grass-roots leasing efforts and (iii) farm-ins or joint ventures with operators whose large leasehold positions exceed their ability to timely develop and maintain their acreage. Silverback was formed by a group of talented industry veterans with 200 years of collective experience across all of the major upstream oil and gas disciplines. The Silverback management team consists of George Young Jr. (CEO), Steve Lipari (COO), Chris Williford (CFO), David Frye (VP-Land/Bus. Dev.) and Jon Conaway (VP-Exploration). Each member has substantial experience and contacts in the industry from past roles at companies such as Collins & Young, EOG Resources, Newfield Exploration, Abraxas Petroleum and Vitruvian Exploration. Additionally, Ted Collins, a long-time partner with Mr. Young and well-known independent oil and gas producer, will act as a non-executive board member.

For Young and Collins, Silverback will be a continuation of their highly successful partnership that dates back to 2001, when the two formed Collins & Young and invested in the Barnett Shale to acquire ~100,000 net acres and participate with Chief Oil & Gas in ~100 gross horizontal wells. Collins & Young ultimately turned $21.5MM of invested capital in the Barnett into $170MM of cash proceeds. Lipari and Frye were founding members of EOG's Barnett division that built a 900,000-acre position in the basin, operated a 26 rig drilling program and managed a $725MM annual capital budget. Subsequent to building EOG's Barnett position, Frye joined EOG's management team in the Eagle Ford that grew production from zero to 100Mboe/d in two years, managed a $200MM lease acquisition budget, and supported a 24 rig drilling program.

Transaction Summary

In November 2013, Fund IX committed $336 million and management committed $14 million, providing a total equity commitment of $350 million to the company. The investment is structured in the form of common equity with Fund IX receiving 96% of distributed cash until an 8% IRR and 1.25x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post-Investment Activity

Beginning in Q4 2014, Silverback began leasing efforts in a targeted area of the Delaware basin prospective for the Wolfcamp. Silverback initially leased ~8,000 net acres through organic leasing efforts. In 2H 2014, Silverback began evaluation of a Delaware basin acquisition opportunity that fell within its target area. Silverback began negotiating with the seller as commodity prices began to fall in Q4 2014 and eventually reached a deal to acquire ~44,000 net acres and ~2,600 boepd of production from the seller for a drastically reduced purchase price.

In conjunction with the upstream transaction, the seller of the asset sold the associated midstream assets to EagleClaw Midstream, an EnCap Flatrock Midstream portfolio company, which had existing assets in the area. EagleClaw and Silverback created a midstream JV ("EagleClaw JV") covering an area of mutual interest surrounding EagleClaw's existing assets and the midstream acquisition. Silverback maintained 20% equity interest in the EagleClaw JV.

On December 28, 2016, Silverback I closed on the sale of its upstream assets in Reeves County, Texas to Centennial Resource Development. Fund IX received $681 million from the upstream sale, generating a 3.3x ROI on Fund IX's $208 million of upstream equity invested.

On June 22, 2017, the sale of EagleClaw JV to funds managed by Blackstone Energy Partners and Blackstone Capital Partners closed for approximately $2.0 billion in cash. Fund IX received $234 million from the midstream sale, generating a 2.8x ROI on Fund IX's $84 million of midstream equity invested. The sale of EagleClaw JV, along with the sale of Silverback I's upstream assets, brought Fund IX's ultimate ROI to 3.1x on $292 million of total equity invested.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Nov-13	$292,224	$915,894	$0	$915,894	3.13x	99.9%

Sabalo Energy, LLC

Substantially Realized

Company Description

Sabalo is a privately-held, Corpus Christi-based independent oil and gas company led by Barry Clark, President and CEO, and other senior managers of Manti Exploration, LP (an EnCap Fund VI portfolio company). Manti was restructured in Q2 2012 to remove the prior president and install Mr. Clark. Mr. Clark effectively streamlined the management team, divested of several non-core assets and focused the company's growth strategy on projects with improved risk-adjusted economics. The remaining management members consist of Tom Medary (VP-Land), Philip Bell (Land), Robert Helm (CFO), Mike Dignam (VP Finance & Business Development) and Wayne Psencik (VP-Operations).

Transaction Summary

In March 2014, Fund IX committed $147.5 million, Avista Capital committed $25.0 million, and management committed $2.5 million, providing a total equity commitment of $175 million to the company. Fund IX subsequently acquired Avista's interest in August 2016 coinciding a commitment expansion of $118.0 million. Since then, Sabalo's equity commitment was further expanded by $40 million, in September 2017, and by $50 million in February 2019, providing a total equity commitment of $365.0 million to the company. The investment is structured in the form of common equity with Fund IX receiving 98.57% of distributed cash until an 8% IRR and 1.00x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met.

Post-Investment Activity

In March 2014, Sabalo acquired 6,800 net acres in Burleson County, Texas from Dyson Energy for $25.2 million. The acreage was located in the East Texas Eagle Ford play, were offset operators (e.g. Halcon, Comstock) were actively drilling and de-risking the play. Sabalo acquired a total of 11,033 net acres (15,029 gross) prospective for the Eagle Ford Shale in Burleson County. The company participated in five non-operated wells with Halcon and Comstock with mostly positive results. Sabalo drilled two operated horizontal Eagle Ford wells with the results of both wells meeting Sabalo's type curve. The company suspended all Eagle Ford drilling activity due to poor drilling economics primarily as a result of the drop in commodity prices.

In Q3 2015, Sabalo acquired a contiguous 3,194 net acre block within the Midland Basin in Howard County for $55.9 million through a privately-negotiated transaction with a small independent operator. The acreage has an ~85% net revenue interest across the position, which is uniquely high for the Permian Basin, and is held by production through a deeper Fusselmann waterflood. The acreage is primarily prospective for the Wolfcamp and Spraberry shales and has significant well results in both zones offsetting it to the West.

In Q3 2016, Sabalo successfully closed on an acquisition with a private seller to acquire 11,394 net acres (15,600 gross) offsetting the company's existing Howard County position with ~235 Boe/d of production ($9.0 million PDP PV10 at strip) for $90.0 million, which equates to ~$7,109 per undeveloped acre. The acquisition was underwritten on one bench using defensible type curves, based on a dataset of ~60 horizontal wells drilled in the immediate area; with 7,500' WC A type curves generating 30-50% IRRs at current strip. Additionally, upside exists in the Lower Spraberry and the Wolfcamp B formations as well and the Middle Spraberry and Jo Mill horizons. In order to capture this acquisition and allow for development across the pro forma position, EnCap expanded the equity commitment. In addition to the expansion, EnCap negotiated a deal to buy-out Avista Capital at an attractive valuation.

In Q1 2017, Sabalo entered into a definitive purchase agreement with a public company to sell all of the company's East Texas Eagle Ford assets for $8.7MM net to Sabalo. The sale closed in early Q2 2017 with proceeds from the transaction re-deployed towards the continued development of Sabalo's Howard County assets.

In Q4 2017, Sabalo entered into a drilling joint venture with Benefit Street Partners ("BSP") in order to further delineate and HBP their Howard County asset. Through the drilling program, Sabalo drilled a total of 27 wells, which ultimately satisfied all lease obligations for the acreage. Additionally, in Q4 2017 Sabalo purchased ~1,500 net acres from Parsley for $10.8 million, which equates to ~$7,100 per undeveloped acre; the acreage directly offsets Sabalo's current leasehold in Howard County and is operated by SM Energy, who has recently begun drilling wells on the acreage.

On December 21, 2018, Earthstone Energy, Inc. (NYSE: ESTE) terminated their previously announced acquisition of Sabalo due to the significant decline in commodity prices since the announcement of the transaction and the related adverse effect on the debt and equity markets. While the termination of the sale due to market dynamics is disappointing, we remain satisfied with owning a high quality asset with a substantial inventory of highly economic drilling locations and growing reserve base. In order to further support the business for drilling and acquisitions going forward, we expanded the equity commitment in Q1 2019 by $50 million ($49.5 million net to Fund IX).

In Q3 2019, the company monetized its water infrastructure assets for $50 million. Proceeds from the sale were utilized to pay down revolver borrowings, fund its 2019 development program, and for bolt-on acreage.

In Q2 2021, Sabalo completed the sale of its operated and non-operated properties to Laredo Petroleum (NYSE: LPI) for $554 million cash and 2,225,930 shares of LPI common stock. The acquired assets included ~21,000 net acres, ~11,600 Boepd (~83% oil), and a significant amount of highly economic remaining locations targeting primarily the Lower Spraberry and Wolfcamp A formations.

At closing, Fund IX received $310 million in cash and 2,191,052 shares of LPI common stock. Post-closing, the cash on cash realized return net to Fund IX was a ~1.0x ROI. We expect a meaningful incremental return from the monetization of our LPI stock position over time and the release of the final ~$32 million cash holdback, which will be released December 15, 2022.

Recent Events

During 1Q 2023, EnCap announced the sale of its retained mineral and royalty assets to Kimbell Royalty Partners (NYSE: KRP) for a total consideration of ~$143.1 million, consisting of ~48.8 million in cash and ~94.3 million of stock (5,926,520 shares at the April 11, 2023 closing price of ~15.91/share). KRP funded a 10% cash deposit into an escrow account, which will be released at closing. Upon closing, there will be a holdback consisting of stock that will be released 6 months (50%) and 12 months after the closing date.

Net to EnCap, assuming no purchase price adjustments and accounting for all prior distributions, this transaction is expected to generate a total deal ROI of ~2.2x net to Fund IX.

Valuation ($000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Mar-14	$319,592	$562,924	$125,893	$688,817	2.16x	14.4%

Piedra Energy III, LLC

Substantially Realized

Company Description

Piedra III is a privately held, Midland-based oil and gas company managed by Chip Smith and Robert Beecherl that is focused in the Permian Basin. The team initially partnered with EnCap Fund VII in Piedra I and II. In Piedra I, the company sold Wolfberry assets to Berry Petroleum for $123 million, providing Fund VII with a 2.4x ROI and 47% IRR on $45 million invested. In Piedra II, the company sold 7,668 acres primarily in Martin County, Texas to Athlon for ~$170 million net to Piedra II. After accounting for debt repayment and other holdbacks, the company distributed ~$106 million net to Fund VII. Piedra II also sold 739 net acres in Reeves and Pecos Counties, Texas to Diamondback for ~$31.5 million in gross proceeds, or ~$20.8 million net to Fund VII. This acreage was a tag-along sale to Diamondback's acquisition of Brigham Resources, which closed in February 2017. Overall, Fund VII realized a 3.2x ROI and 48% IRR. Prior to Piedra, Mr. Smith spent 18 years focused on property acquisitions and exploration and was formerly the founder/co-founder of Charter Royalty Company, Parsley & Smith and Vecta Technology. Mr. Beecherl spent 19 years focused on acquisitions and divestments at Vecta Technology, Sugarberry Oil & Gas and Verdad Oil and Gas. Management is employing a dual-track strategy of 1) pursuing exploration and development of lower risk resource plays with scalability and upside potential similar to its strategy in Piedra I and II, and 2) acquiring mineral interests in the Midland and Delaware basins.

Transaction Summary

In May 2014, Fund IX committed $188 million and management committed $12 million, providing a total equity commitment of $200 million to the company. In Q1 2017, the total equity commitment was expanded by $100 million (100% Fund IX) to $300 million. In Q4 2017, the total equity commitment was expanded by $40 million (100% Fund IX) to $340 million. The investment is structured in the form of common equity with Fund IX receiving its pro-rata percentage of distributed cash until an 8% IRR and 1.0x ROI is achieved, and thereafter distributions will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post-Investment Activity

Piedra III initially established a ~3,000 net acre foothold in Andrews County through two primary acquisitions. In Q3 2014, the company acquired ~1,000 net acres (largely HBP with ~$20 million of PDP PV10) in eastern Andrews County that is offset by recently completed horizontal Wolfcamp and Spraberry wells drilled by Pioneer and Diamondback for ~$25 million. At closing, management hedged ~75% of its projected PDP volumes for two years at an average price of $83.00/bbl. In Q4 2014, Piedra III drilled one vertical Wolfberry well to satisfy a lease obligation on the acreage. In Q1 2015, the company acquired an additional ~2,000 net acres (~$5 million PDP PV10 and ~$2 million SWD system) offset its previously acquired acreage for $12 million.

To date, Piedra III has acquired ~13,500 net acres in Andrews County, Texas. The majority of Piedra III's Andrews County position is HBP and prospective for multiple benches including the Lower Spraberry, Middle Spraberry, and Wolfcamp B.

In Q3 2017, the company drilled two vertical science wells (one on the northern side of the position and one on the southern side of the position) and cored the entire Spraberry interval as well as other secondary intervals. Analysis of the core data confirmed the prospectivity of the Middle and Lower Spraberry, with potential upside in the Wolfcamp B. As such, in Q4 2017, the company re-entered the vertical wellbore of the southern science well and began drilling a 10,000' horizontal Lower Spraberry well. This well was completed in Q2 2018.

Since May 2014, the company has captured ~18,700 net royalty acres ("NRA") (normalized to 1/8th royalty rate) primarily in the core of the Midland and Delaware basins that are being actively developed by industry operators. Due to the nature of mineral interests, there are no additional capital requirements or operating expenses associated with the assets after their initial purchases. Furthermore, there is no risk of the interests expiring, as is the case with traditional leasehold acquisitions. In addition to their core Midland and Delaware Basin positions, the company also has smaller mineral interests in the Eagle Ford and Bakken. In Q2 2019, the company sold ~2,200 scattered, non-producing NRAs in the Southern Midland Basin to Riverbend and subsequently distributed ~$32 million back to Fund IX consisting of sale proceeds and royalty revenue.

In Q3 2018, Piedra commenced flowback on its first two operated horizontal wells, one Lower Spraberry and one Middle Spraberry (10,000' laterals). In Q4 2018, the company completed and turned to sales its third well, a 10,000' horizontal Lower Spraberry well on the northern portion of its acreage.

Recent Events

On April 3, 2023, EnCap signed a securities purchase agreement ("SPA") to sell substantially all of Piedra III, Piedra IV, PetroLegacy and Black Swan's operated and non-operated properties in the Northern Midland Basin to Ovintiv Inc. (NYSE: OVV) for total consideration of $4.275 Billion, comprised of $3.125 Billion in cash and $1.15 Billion in equity. The equity consideration is priced off of a 5-day VWAP as of 3/31/2023 close ($35.23/share). The OVV common stock is subject to a 3-month lockup from closing (closing targeted for mid-June pending government approval). The companies being sold are across three funds (Fund IX, Fund X, and Fund XI) with value allocations determined by the buyer. OVV allocated $881 million to Piedra III's leasehold position in Andrews County.

Piedra III will retain its portfolio of royalty assets that were excluded from the sale. These assets consist of ~16,500 NRAs primarily focused in the Permian Basin. The company has ~3,400 NRAs in the Delaware Basin, ~12,200 NRAs in the core of the Midland Basin and smaller positions in the Eagle Ford and Bakken. All of the acreage continues to be developed by proven operators such as ConocoPhillips, Pioneer, XTO Energy, and EOG, seeing significant organic cash flow growth. Current monthly royalty income is ~$4.0-$5.0 million, and given the current market conditions, we expect cash flow to grow modestly throughout 2023.

Valuation ($000's)

See valuation assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jun-14	$302,000	$166,392	$871,928	$1,038,320	3.44x	21.6%

Fuse Energy, LLC

Fully Realized

Company Description

Fuse is a privately-held, Denver-based independent oil and gas company lead by David Wolf, President & CEO, Daryll Howard, COO, Ann Verzeletti, VP Corporate Development & Engineering, Shawn Canaday, CFO, and Steve Parks, Geologic Manager. Mr. Wolf was previously Executive VP and CFO of Berry Petroleum (NYSE: BRY) where he worked alongside Ms. Verzeletti and Mr. Canaday. Together the team was instrumental in selling the company to Linn Energy in December 2013 for $5 billion. Mr. Howard spent 18 years in various roles at Newfield (NYSE: NFX), most recently as VP of the Rocky Mountain region where he led a business unit with a net asset valuation of $2.5 billion. Mr. Parks has over 35 years of experience as a senior development geologist with experience in numerous basins. Fuse will employ an acquire and exploit strategy and will focus on properties with a significant PDP component, but not mature enough for most upstream MLPs. The team will seek basins with stacked pay and will drive returns through other operational enhancements. Management has a deep contact base, an excellent track record of sourcing negotiated transactions and believes that staying out of highly competitive data rooms will be a key to success.

Transaction Summary

In June 2014, Fund IX committed $294 million and management committed $6 million, providing a total equity commitment of $300 million to the company. The investment is structured in the form of common equity with Fund IX receiving 98% of distributed cash until an 8% IRR is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post-Investment Activity

In September 2014, Fuse closed on the acquisition of ~64,000 net acres (47% HBP) and 67,000 Mcfepd/d of production, 55% liquids, in the Barnett Combo in Wise and Montague Counties, TX. In January 2015, Fuse released their one operated rig in light of commodity price degradation and delayed all drilling until commodity prices rebound. Fuse continues to focus on cost reductions and has no near-term drilling plans given the current commodity price environment.

In Q4 2015, Fuse finalized the restructuring of two significant midstream contracts that were assumed in the Barnett Combo acquisition. This restructuring eliminated deficiency payments over the next several years through a small upfront payment and a slight increase in gathering and transportation fees paid to the midstream provider on current and future volumes.

Fuse signed a PSA for no equity value during Q4 2018 and closed the transaction in Q1 2019.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jun-14	$134,791	$0	$0	$0	0.00x	(79.1)%

Sierra Oil & Gas Holdings, L.P.

Fully Realized

Company Description

Sierra (Mexico City based) is working towards creating a leading Mexican oil and gas company by capitalizing on the comprehensive energy industry reform taking place in Mexico. Sierra is led by Ivan Sandrea, who has over 20 years of international E&P experience. Mr. Sandrea most recently worked as co-head of EY's global oil and gas team and previously as VP of Global Strategy at Statoil. He is joined by Read Taylor (EVP-Upstream), Rosendo Zambrano (EVP-Midstream), Edgar Jones (EVP-Commercial & Business Development), Salvador Beltran del Rio (VP-Industry Relations) and Anibal Ramirez (CFO). Read, Rosendo and Edgar most recently held senior positions at Pemex, Devon International, Petra Energia and Statoil where they were responsible for originating and developing both conventional and unconventional assets. Salvador is a well-connected former Mexican politician that has held numerous high-ranking international and domestic positions for Mexico. Anibal has been the CFO of several large companies in Mexico. Prior to the reforms, Management spent a significant amount of time compiling data and evaluating regions/fields and will target the following asset types: 1) mature onshore fields where operational efficiencies or second/tertiary recovery will enhance value; 2) conventional onshore; 3) shallow water offshore; and 4) unconventional plays. In situations where Sierra does not meet requirements for operatorship, the company will seek out world-class partners.

Transaction Summary

Sierra was formed in September 2014 with a $527.7 million equity commitment, consisting of $225.0 million from EnCap Fund IX, $225.0 million from Riverstone, $75.0 million from Blackrock (formerly Infraestructura Institucional) (cumulatively referred to as the "Investor Group") and $2.7 million from management. The investment is structured in the form of common equity with underlying assets held in a Mexican SRL with the Investor Group initially receiving 99.57% of the available distributions. Governance is shared between EnCap and Riverstone, where the consent of both parties is necessary and sufficient for an action of the Board.

Investment was made in Sierra through Fund IX and through an "Alternative Investment Vehicle" for Fund IX-C as previously set up for the Modern investment. The overall intent is to maintain the economics between Fund IX and Fund IX-C, but to allow the investors in Fund IX-C to achieve certain tax efficiencies by causing Fund IX-C to invest in the Mexican SRL through the Alternative Investment Vehicle rather than through a Delaware (U.S.) corporation ("C Blocker").

The investment by Fund IX and the Alternative Investment Vehicle in the ultimate Mexican SRL was through a Dutch BV (wholly owned by our Dutch Coop established for Modern). During Q2 2018, Fund IX decided to hire two employees in the UK and establish a UK office to manage the activities of Fund IX's foreign structure. As such, EnCap International IX UK Ltd ("EnCap UK"), a Limited Company under the laws of the UK and EnCap International Delaware LLC ("EnCap Intl DE"), a Limited Liability Company under the laws of Delaware were incorporated by Fund IX. Fund IX and the Alternative Investment Vehicle then contributed the membership rights in the Dutch Coop to EnCap UK and EnCap Intl DE.

Post-Investment Activity

During July of 2015, Sierra participated in the first government sponsored bid round (Call 1). Due to the size of the projects being auctioned and certain organizational restrictions set by the Mexican government, Sierra participated in Call 1 through a consortium with Apollo and Riverstone backed Talos Energy and Premier Oil and Gas. The consortium bid on two of the Blocks offered in the auction (Block 2 and Block 7), which the company believed to be the most attractive assets being offered. Sierra narrowly outbid Hunt Oil for Block 2, and outbid Statoil, Hunt, and ENI on Block 7 and was awarded both Blocks. In order to satisfy Sierra's bid criteria, the Sierra/Talos/Premier consortium is required to reprocess existing 3D seismic data, shoot additional seismic on one of the Blocks, and drill a total of three wells (one on Block 2 and two and Block 7). Total capital exposure to the consortium is estimated at $122 million, or approximately $55 million net to Sierra's 45% interest. The consortium has four years to complete their drilling obligations.

Sierra participated in the fourth government sponsored auction of offshore assets that took place in December 2016. Sierra participated in the auctions through two separate consortiums with operators including Murphy Oil, Petronas, and Ophir Energy. Though the bid round was highly competitive, Sierra was ultimately able to capture two Blocks in Call 4, and will be a non-op partner with Murphy Oil operating Block 5 (Sierra's interest is 23%) and Petronas operating the Block 4 (Sierra's interest is 50%). Similar to Call 1, the assets captured in Call 4 are subject to a minimum work program that must be completed in the next four years that consists of drilling one well in Block5 and reprocessing a seismic survey over Block 4.

Sierra has also invested in a comprehensive upstream data package to assist in the screening of assets that will be offered in future rounds in order to prioritize their time and energy on areas they view as the most attractive. In addition to continuing to evaluate future opportunities, the team will also focus on identifying and promoting in partners to help mitigate risk and reduce drilling capital exposure.

In late May 2017, Sierra, and the other members of the Talos-operated Call 1 Block 7 consortium, spudded the first private well in the recent era within Mexico, the Zama well. Initial results look very promising as the potential recoverable reserves are large (over 1.5 billion bbls), which would make Zama one of the largest discoveries in the Gulf of Mexico in the last 20 years. In addition to being a highly successfully discovery, the success at Zama helps to further de-risk two additional blocks held by Sierra (Block 5 and Block 11).

In February 2018, Sierra participated in another government auction in a consortium with Repsol (operator), Petronas, and PTTEP for Block 29. The consortium was awarded this block and is extremely enthusiastic about adding this to the overall portfolio. Block 29, in which Sierra owns a 25% working interest, spans over 3,254 square kilomoters (larger than any block in the current portfolio) and contains numerous highly economic prospects. Most importantly, the team believes that the prospects within Block 29 possess geologic features similar to that of the highly successful Zama prospect in Block 7.

In Q4 2018, Sierra Oil & Gas ("Sierra") announced the signing of an agreement to sell all of its upstream assets to Deutsche Erdoel AG ("DEA"), a German E&P company. Since inception, Sierra has called $258.1 million of equity consisting of $109.9 million from EnCap Fund IX, $109.9 million from Riverstone, $36.6 million from BlackRock, and $1.6 million from Management.

At closing on March 19, 2019, (net of fees), Sierra received $589.4 million of cash proceeds, and another $48.0 million on April 4, 2019 as a result of an earnout on our recent Zama appraisal well. Net to EnCap and inclusive of the April 4, 2019 earnout payment, this transaction results in $242.6 million of net cash proceeds to Fund IX, equating to a 2.2x cash ROI.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Sep-14	$110,477	$242,058	$0	$242,058	2.19x	33.0%

OGX Holding III, LLC

Fully Realized

Company Description

OGX III is a privately held Midland-based independent oil and gas company focused on acquiring and exploiting oil and gas properties in the Permian Basin. OGX was founded by Richard Coats and Frank Agar in October 2002. Both individuals each have over 25 years of experience as independent owners and operators of oil and gas properties in the Permian Basin. The team initially partnered with EnCap Fund V in 2006 and subsequently sold the majority of its assets to Legend Natural Gas III in March 2008 for approximately $173.5 million in cash, providing a 2.8x ROI and 92% IRR on Fund V's $32.2 million investment. The team then partnered with EnCap Fund VII in 2008 and pursued a drill bit growth strategy in the Permian Basin. OGX II was substantially realized through three separate transactions, generating $331.7 million in cash for Fund VII or a 3.3x realized ROI to date on $101.0 million invested. OGX II has additional stub value in minor unrealized assets which will enhance the overall returns to Fund VII. OGX III is led by the OGX founders, Richard Coats and Frank Agar, and is supplemented with Austin Campbell and Brendan Fikes, two seasoned mineral acquirers with strong track records in value creation in the Permian Basin. OGX III focuses on a dual-track strategy of (i) acquiring mineral interests in the Midland and Delaware basins and (ii) aggregating and developing unconventional exploration and production opportunities throughout the Permian Basin.

Transaction Summary

Fund IX formed a limited liability company with OGX III in January 2015, committing $480.0 million. The management team committed $20.0 million providing total capital committed of $500.0 million to the company. The investment takes the form of common equity with Fund IX receiving 96% of the available cash flow until an 8% IRR and a 1.0x ROI is earned, and thereafter distributions are allocated on a graduated basis until higher IRR and ROI targets are met. All exploration and production assets will be held in OGX Holdings III, LLC while for tax purposes mineral related interests will be held in Santa Elena Minerals, LP (both entities collectively referred to as "OGX III"). EnCap holds a majority position on the Board of Managers.

In June 2021, OGX III contributed the entirety of its remaining Permian mineral portfolio (~17,300 net royalty acres) to EnCap Minerals in exchange for 9.8% ownership in the pro forma entity. OGX management was bought out of its interests in these contributed assets, and Fund IX holds the equity ownership directly. This investment detail represents the cash investment and distribution activity of the assets not contributed to EnCap Minerals, including properties previously divested and the Viper Energy Partners LP stock retained and held directly by Fund IX.

Post Investment Activity

Starting in January 2015, the company utilized ~$485.0 million of its $500.0 million total equity commitment to capture over 33,000 net royalty acres (normalized to $1/8^{th}$ royalty rate) in the core of the Midland and Delaware Basins at attractive valuations.

In August 2018, OGX III made a $240.9 million distribution to Fund IX as a result of a partial asset sale to a large institutional buyer. The divested assets included ~2,400 net royalty acres out of the company's broader ~33,000 net royalty acre position (pre-sale). The sale proceeds vs. the original purchase price represented a gross ~8x asset ROI.

In mid-2019, OGX III hired an advisor to test the market for select assets in the portfolio deemed to be more developed or mature. Ultimately, the Company sold two different packages in Q4 2019 and Q1 2020 including: (i) a subset of Diamondback operated properties in the Midland Basin to Viper Energy Partners LP (NASDAQ: VNOM) for 5.2 million units in VNOM ($150 million of value at signing) and (ii) various Midland Basin assets operated by Pioneer and several other operators to an undisclosed buyer for $84.5 million in cash. The Company used the cash to pay down debt and to make a $31 million distribution to

Fund IX. Of note, EnCap sold all of the VNOM shares received via open market sales with the final exit occurring in Q1 2022 (average overall realization of ~$26/share).

In June 2021, OGX III contributed the entirety of its remaining Permian mineral portfolio (~17,300 net royalty acres) to EnCap Minerals in exchange for 9.8% ownership in the pro forma entity.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Jan-15	$258,197	$519,124	$0	$519,124	2.01x	20.7%

Southland Royalty Company, LLC

Fully Realized

Company Description

Southland Royalty Company is a privately-held, Fort Worth-based independent oil and gas company focused on building an attractive asset base through an acquisition strategy focused on a variety of domestic unconventional basins. The Southland management team consists of Bob Simpson (Chairman), Keith Hutton (CEO), Vaughn Vennerberg (President), Timothy Petrus (EVP – Acquisitions) and Brent Clum (CFO). The majority of senior management has worked together for over 27 years and has substantial experience operating in numerous onshore domestic conventional and unconventional basins. This team was the core group responsible for making over $15 billion in oil and gas acquisitions that created the basis for XTO's approximately $41 billion sale to Exxon in 2009. Southland's strategy is to acquire producing, operated oil and gas assets in areas with multiple rich source rocks targeting a series of known productive zones with stacked pay potential and grow production and reserves through efficient management of operations as well as through development, exploitation and exploration.

Transaction Summary

In February 2015, Fund IX committed $431.2 million, Fund X committed $646.8 million and management committed $22.0 million, providing a total equity commitment of $1.1 billion to the company. The investment is structured in the form of common equity with the EnCap funds receiving 98% of distributed cash until an 8% IRR and 1.00x ROI is achieved. Distributions thereafter will be allocated on a graduated basis as additional IRR and ROI targets are met.

Post Investment Activity

On March 31, 2015, management closed on the acquisition of Energen's San Juan Basin asset for $395 million. The asset consists of ~205k net acres (99% HBP, 85% operated) located on the border of Colorado and New Mexico. At the time of the acquisition, Southland's purchase price was fully-underpinned by PDP value with numerous upside opportunities, several of which are economic even at depressed commodity prices.

On June 30, 2016, management closed on the acquisition of Anadarko's Green River Basin asset for $610 million. The asset consisted of ~320k net mineral acres and ~34k net leasehold acres (99% HBP or Mineral Ownership) located in southern Wyoming. At the time of the Green River Basin acquisition, the purchase price was predominantly underpinned by PDP value with numerous upside opportunities, several of which are economic even at depressed commodity prices.

In Q4 2016, EnCap and Morningstar (entity majority owned and controlled by Southland management) completed a sell-down of ~$132 million to reduce EnCap's overall exposure to Rockies gas. The sell-down allowed Morningstar to increase its commitment from 2% to 20%, which improves the alignment between EnCap and Southland management. The new commitment amounts are as follows: $352 million from Fund IX, $528 million from Fund X and $220 million from Morningstar.

Southland filed an amended plan of reorganization during the first quarter of 2021, and the plan was approved during the second quarter of 2021. There was no impact to the Fund due to the wind-down of Chapter 11 proceedings.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Feb-15	$310,179	$0	$0	$0	0.00x	N/A

Phillips Energy Partners IV, LLC

Substantially Realized

Company Description

Phillips IV is a Shreveport, Louisiana based oil and gas company focused on acquiring producing and targeted non-producing fee mineral interests throughout the United States. The management team was led by Chris Phillips, the former co-founder and Executive Vice President of Texla Energy, a gas marketing company representing over 150 oil and gas producers. In August 2006, EnCap Fund V committed $1.5 million to Phillips Royalty Partners 2, L.P., which sold in May 2008 for $2.5 million net to Fund V representing a 45% IRR and 1.7x ROI. In April 2007, EnCap Fund VI committed $30.6 million to Phillips I to aggregate smaller royalty interests into larger packages for sale to acquirers of royalty interests, thereby taking advantage of the arbitrage in purchase price metrics between small and large royalty packages. In February 2010, Fund VII committed $51.0 million to Phillips II and invested the capital in a balanced mix of income producing PDP assets purchased at attractive valuations and highly prospective non-producing shale/resource acreage. In August 2012, Fund VIII committed $98.5 million to Phillips III and continued to invest in a balanced mix of producing assets and non-producing shale/resource acreage. Similar to its predecessor companies, PEP IV will acquire and own producing and non-producing mineral fee interests and overriding royalty interests throughout the United States.

Transaction Summary

In May 2015, Phillips IV was closed with a $200.0 million equity commitment comprised of $197.0 million from EnCap Fund IX and $3.0 million from management. The investment is structured in the form of common equity with Fund IX receiving 98.5% of distributed cash until an 8% IRR and 1.1x ROI, and thereafter distributions will be allocated on a graduated basis as certain ROI targets are met. Fund IX holds a majority position on the Board of Managers.

During Q3 2016, EnCap parted ways with PEP IV management, and the company's assets are currently being managed on a contract basis.

In Q4 2016, PEP IV sold 852 net royalty acres in the STACK play to a publicly traded gold-focused royalty company for $8.1 million. Inclusive of the sale proceeds, PEP IV has distributed $13.3 million net to Fund IX. PEP IV still owns ~5,000 net royalty acres in the core of the STACK play in Oklahoma. Operators in the area continue to aggressively drill wells in and around the company's mineral position.

Recent Events

During Q4 2022, EnCap closed on the sale of its consolidated STACK mineral assets to 89 Energy for ~$230 million of total consideration. The PEP IV mineral assets represented ~8% of the total consolidated assets sold to 89 Energy. The $230 million 8/8ths sales price translated to ~4.7x projected 2023 EBITDA and was meaningfully above the PDP PV-10 value of the assets, which at the time was ~$155 million at strip pricing. At closing on October 7, 2022, PEP IV received $15.0 million of proceeds. In addition to the proceeds received at closing, EnCap has the opportunity to receive an additional ~$3.3 million of proceeds during 2023 from holdbacks and post-closing title defect curative payments.

Valuation ($000's)

See Valuation Assumptions for valuation basis.

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
May-15	$39,630	$51,632	$3,612	$55,244	1.39x	7.1%

QStar II, LLC

Fully Realized

Company Description

QStar II is a privately-held, Houston-based independent oil and gas company focused on the identification, acquisition, and exploration of liquids-rich plays in various onshore US basins. QStar II is led by Gerald Carman (CEO), Joel Saber (CFO), and Ian Murry (VP - Engineering). Management has an impressive track record of creating value both individually and collectively. Most recently, QStar, LLC (Fund IX) and its 25% working interest partner sold ~36,000 net acres in Howard County, TX (Permian basin) to SM Energy for $1.6 billion in December 2016, generating over a 2.0x cash ROI for Fund IX and closer to a 3.0x ROI when accounting for unrealized SM stock. QStar II's strategy involves employing a data-driven approach, and the company will rely extensively on subsurface data and historical production and well data to identify areas that have yet to be exploited with modern completion techniques. QStar II plans to be opportunistic in its approach and will either employ a lease & drill or acquire & exploit strategy, depending on the opportunity set and the associated economics. Management will initially focus its efforts across multiple basins in Texas, where it has a great deal of experience and a strong network of relationships.

Transaction Summary

In March 2017, Fund IX committed $394.0 million and management committed $6.0 million, providing a total equity commitment of $400.0 million to the company. The investment is structured in the form of common equity with Fund IX receiving 98.5% of distributed cash until an 8% IRR is achieved. Distributions thereafter will be allocated on a graduated basis as certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Post Investment Activity

EnCap and QStar II management formalized the termination of the enterprise in Q1 2019. This decision was made for a number of reasons, including personal reasons for certain key executives. While QStar II's result was disappointing, QStar I generated meaningful value to Fund IX through its $1.6 billion monetization to SM Energy in December 2016.

Valuation ($000's)

Date of Initial Investment	Capital Invested	Realized Proceeds	Unrealized Value	Total Value	ROI	IRR
Apr-17	$12,830	$221	$0	$221	0.02x	(88.9)%

EnCap Investments L.P.

Energy Capital Fund IX

Section IV:
Financial Statements

Confidential
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ENCAP ENERGY CAPITAL FUND IX, L.P.

FINANCIAL STATEMENTS

MARCH 31, 2023

ENCAP ENERGY CAPITAL FUND IX, L.P.

STATEMENT OF ASSETS, LIABILITIES AND PARTNERS' CAPITAL

	March 31, 2023
ASSETS	
Investments, at fair value (cost $2,620,029,529)	$ 2,928,675,290
Cash and cash equivalents	24,584,741
Due from affiliate	3,676,927
Total assets	$ 2,956,936,958
LIABILITIES AND PARTNERS' CAPITAL	
Due to affiliate	$ 6,046,037
Due to Limited Partners	344,712
Total liabilities	6,390,749
Partners' capital:	
General Partner	731,825,772
Limited Partners	2,218,720,437
Total partners' capital	2,950,546,209
Total liabilities and partners' capital	$ 2,956,936,958

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND IX, L.P.

SCHEDULE OF INVESTMENTS

MARCH 31, 2023

	Shares or % owned	Cost	Fair Value	% of net assets
Private equity investment holdings:				
Payrock Energy Excluded Assets Holdings, LLC	49.5%	$ —	$ 309,000	0.0%
EnCap FEx Holdings, LLC	100.0%	8,053,554	17,176,000	0.6%
Bold Energy Holdings, LLC	100.0%	231,963,711	440,455,000	14.9%
EnCap Protégé Holdings, LLC	100.0%	415,000,108	467,051,000	15.8%
Excalibur Resources Holdings, LLC	100.0%	203,470,135	85,179,000	2.9%
MB Minerals, LP	100.0%	47,885,606	125,893,000	4.3%
Paloma Partners IV Holdings, LLC	89.6%	708,248,281	570,694,000	19.4%
Piedra Energy III, LLC	95.9%	106,560,000	579,234,000	19.6%
Rock River Minerals, LP	96.3%	179,544,419	292,694,000	9.9%
EnCap Minerals Holdings, LLC	9.8%	185,042,325	301,077,000	10.2%
Phillips Energy Partners IV, LLC	100.0%	8,815,016	3,612,000	0.1%
Public equity investment holdings:				
Southwestern Energy Company	9,060,258	525,446,374	45,301,290	1.6%
Total investments		$ 2,620,029,529	$ 2,928,675,290	99.3%

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND IX, L.P.

STATEMENT OF OPERATIONS

		Three months ended March 31, 2023
Investment income:		
Interest	$	232,192
Dividend		36,955,911
Total investment income		37,188,103
Expenses:		
General and administrative		432,344
Total expenses		432,344
Net investment income		36,755,759
Realized and unrealized gain (loss) on investments:		
Net realized gain on investments		18,791,799
Net change in unrealized appreciation on investments		34,921,853
Net realized and unrealized gain on investments		53,713,652
Net increase in partners' capital resulting from operations	$	90,469,411

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND IX, L.P.

STATEMENT OF CHANGES IN PARTNERS' CAPITAL

	General Partner	Limited Partners	Total
Partners' capital at December 31, 2022	$ 714,274,943	$ 2,236,279,107	$ 2,950,554,050
Capital distributions	(2,714,317)	(87,762,935)	(90,477,252)
Net increase in partners' capital resulting from operations	2,714,082	87,755,329	90,469,411
Incentive allocation	17,551,064	(17,551,064)	—
Partners' capital at March 31, 2023	$ 731,825,772	$ 2,218,720,437	$ 2,950,546,209

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND IX, L.P.

STATEMENT OF CASH FLOWS

	Three months ended March 31, 2023
Cash flows from operating activities:	
Net increase in partners' capital resulting from operations	$ 90,469,411
Adjustments to reconcile increase in partners' capital resulting from operations to net cash provided by operating activities:	
Proceeds from investments	36,396,871
Realized gain on investments	(18,791,799)
Change in unrealized appreciation on investments	(34,921,853)
Change in operating assets and liabilities	
(Increase) decrease in due from Limited Partners	1,235
(Increase) decrease in due from affiliate	(908,170)
Increase (decrease) in due to affiliate	5,596,024
Increase (decrease) in due to Limited Partners	344,712
Net cash provided by operating activities	78,186,431
Cash flows from financing activities:	
Distributions to partners	(90,477,252)
Net cash used for financing activities	(90,477,252)
Net change in cash and cash equivalents	(12,290,821)
Cash and cash equivalents, beginning of period	36,875,562
Cash and cash equivalents, end of period	$ 24,584,741

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND IX, L.P.

NOTES TO FINANCIAL STATEMENTS

NOTE 1 – ORGANIZATION:

EnCap Energy Capital Fund IX, L.P. (the "Partnership"), a Texas limited partnership, was formed on December 19, 2012 to provide its partners with an opportunity to participate in privately negotiated equity and equity-related investments in the upstream and midstream independent oil and gas sector of North America. The Partnership operates pursuant to a partnership agreement (the "Partnership Agreement") dated December 19, 2012, which should be referred to for a complete description of the provisions of the Partnership. EnCap Equity Fund IX GP, L.P. ("General Partner"), a Texas limited partnership, is the sole general partner for the Partnership. The Partnership's final close was on January 31, 2013. There are 279 investors owning the limited partnership interests ("Limited Partners", and collectively with the General Partner, the "Partners"). The General Partner's and Limited Partners' total capital commitments to the Partnership are $154.6 million and $5,000 million, respectively. The Partners' total outstanding commitments as of March 31, 2023 were approximately $200.5 million. The ratio of total contributed capital to total committed capital is 96.7%. The Partnership has committed $5,823.4 million to portfolio companies, of which $496.1 million remains unfunded at March 31, 2023.

EnCap Energy Capital Fund IX-C, L.P. (the "C Feeder") and EnCap Energy Capital Fund IX-D, L.P. (the "D Feeder"), affiliated funds, are investors in the Partnership. The C Feeder's and D Feeder's ownership in the Partnership's capital are 21.744034% and 6.262165%, respectively.

The Partnership was to be dissolved upon the expiration of a 10-year period ending December 19, 2022. On December 9, 2022, an extension of the Partnership Agreement was formally approved by the Advisory Board to extend the life of the Partnership until December 31, 2024.

NOTE 2 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Basis of Presentation

The accompanying financial statements have been prepared on the accrual basis in accordance with accounting principles generally accepted in the United States of America ("GAAP"). The Partnership is considered an investment company under GAAP and follows the accounting and reporting guidance applicable to investment companies in the Financial Accounting Standards Board Accounting Codification ("ASC") 946, Financial Services – Investment Companies.

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires the General Partner to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the dates of the financial statements and the reported amounts of revenue and expenses during the reporting period. Actual results, including the ultimate amount realized upon the sale of illiquid and/or fair valued investments, can, and often do, differ from those estimates.

Investment valuation and transactions

The Financial Standards Accounting Board ("FASB") guidance "Fair Value Measures," establishes a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (level 1 measurement) and the lowest priority to unobservable inputs (level 3 measurements). The three levels of the fair value hierarchy under the guidance are as follows:

Level 1 Inputs that reflect unadjusted quoted prices in active markets for identical assets or liabilities that the Partnership has the ability to access at the measurement date;

Level 2 Inputs other than quoted prices that are observable for the asset or liability either directly or indirectly, including inputs in markets that are not considered to be active;

Level 3 Prices, inputs or modeling techniques which are both significant to the fair value measurement and unobservable (supported by little or no marked activity).

Inputs are used in applying the various valuation techniques and broadly refer to the assumptions that market participants use to make valuation decisions, including assumptions about risk. Inputs may include price information, volatility statistics, specific and broad credit data, liquidity statistics, and other factors. An investment's level within the fair value hierarchy is based on the lowest level of any input that is significant to the fair value measurement. However, the determination of what constitutes "observable" requires significant judgment by the General Partner. The General Partner considers observable data to be that market data which is readily available, regularly distributed or updated, reliable and verifiable, not proprietary, provided by multiple, independent sources that are actively involved in the relevant market. The categorization of an investment within the hierarchy is based upon the pricing transparency of the investment and does not necessarily correspond to the General Partner's perceived risk of that investment.

Partnership investments are valued quarterly by the General Partner. Investment cost and the net realized gains or losses thereon are determined, for financial accounting purposes, on the specific identification method. The Partnership's investments that have been classified within level 3 utilize significant unobservable inputs and trade infrequently or not at all. Level 3 investments may include common and preferred equity securities, corporate debt, warrants and other privately issued securities. When observable prices are not available for these securities, the General Partner uses one or more valuation techniques (e.g., the market approach or the income approach) for which sufficient and reliable data is available. Within level 3, the use of the market approach generally consists of using comparable market transactions, while the use of the income approach generally consists of the net present value of estimated future cash flows, adjusted as appropriate for liquidity, credit, market and/or other risk factors.

The inputs used by the General Partner in estimating the value of level 3 investments included third party engineering reserve reports, oil and gas NYMEX future prices as of the date the valuation is performed, estimated capital expenditures, estimated operating costs, and risk-adjusted discount factors based on whether the reserves are classified as proved developed producing, proved developed nonproducing or proved undeveloped. Other relevant information considered by the General Partner may include the following factors: original transaction price, recent public or private transactions in the same or similar assets, restrictions on transfer, including the Partnership's right, if any, to require registration by the issuer of the offering and sale of securities held by the Partnership under the securities laws; significant recent events affecting the issuer, including significant changes in financial condition and pending mergers and acquisitions; and all other reasonable and customary factors affecting value. The fair value measurement of level 3 investments does not include transaction costs that may have been capitalized as part of the security's cost basis. Assumptions used by the General Partner due to the lack of observable inputs may significantly impact the resulting fair value and therefore the Partnership's results of operations.

Investments may be classified as level 2 when market information becomes available, yet the investment is not traded in an active market and/or the investment is subject to transfer restrictions, or the valuation is adjusted to reflect illiquidity and/or non-transferability.

Investments in restricted securities of public companies cannot be offered for sale to the public until the Partnership complies with certain statutory requirements. The valuation of the securities by management takes into consideration the type and duration of the restriction, but in no event does the valuation exceed the listed price on a national securities exchange or the NASDAQ national market. Investments in restricted securities of public companies are generally included in level 2 of the fair value hierarchy.

Investments whose values are based on quoted market prices in active markets, and are therefore classified within level 1, generally include active listed equities. The General Partner does not adjust the quoted price for such instruments, even in situations where the Partnership holds a large position and a sale could reasonably impact the quoted price.

The following table presents the investments carried on the Statement of Assets, Liabilities and Partners' Capital by level within the valuation hierarchy as of March 31, 2023.

	Assets at Fair Value as of March 31, 2023			
	Level 1	Level 2	Level 3	Total
Investments:				
Private equity holdings	$ —	$ 440,455,000	$ 2,442,919,000	$ 2,883,374,000
Public equity holdings	45,301,290	—	—	45,301,290
	$ 45,301,290	$ 440,455,000	$ 2,442,919,000	$ 2,928,675,290

The following table summarizes the valuation methodology and significant unobservable inputs used for investments that are categorized within Level 3 of the fair value hierarchy as of December 31, 2022. The disclosure below excludes investments for which fair value is based on unobservable but non-quantitative inputs. Such items include investments for which the determination of fair value is based on prices from prior transactions or third party pricing information without adjustment.

Assets (at fair value)	Fair Value at December 31, 2022	Valuation Techniques(1)	Unobservable Inputs(2)	Range of Inputs (Weighted Average)
Investments in Equity of Privately Held Companies	$47,568,000	Precedent transactions	Recent transaction price	N/A
	$2,328,906,000	Income Approach / Discounted Cash Flow Analysis	Discount rate	10%
			NYMEX forward strip oil pricing ($/BO)	$64.14-$79.40
			NYMEX forward strip gas pricing ($/MMBTU)	$4.22 - $4.50
			Risk adjusted PDP reserves	0%
			Risk adjusted PDNP reserves	20%
			Risk adjusted PUD reserves	85% - 100% (97.8%)
			Cash flow multiple	5.9x - 6.6x (6.2x)

(1) In determining certain of these inputs, the General Partner evaluates a variety of factors including economic conditions, industry and comparable companies and company specific developments including growth avenues, exit strategies and realization opportunities. The General Partner also evaluates the following unobservable inputs in considering the fair value of its investments: third party engineering reserve reports, oil and gas NYMEX future prices, risk-adjusted discount factors based on reserve category, capital expenditures and operating costs of the company, financial information obtained from each company including unaudited financial statements for the most recent period available, estimated financial performance and budget to actual variance analysis; current and projected financial condition of the company; current and projected ability of the company to service its debt obligations; type and amount of collateral, if any, underlying the investment; current financial ratios applicable to each investment; pending debt or capital restructuring of the company; projected operating results of the company; current information regarding any offers to purchase the investment; current ability of the company to raise any additional financing as needed. The General Partner has determined that market participants would take these inputs into account when valuing the investment. Once the General Partner has estimated the underlying entities' business enterprise value, a waterfall analysis of the entities' capital structure should be considered. Reserve categories are defined as follows: PDP - proved developed producing, PDNP - proved developed nonproducing, PUD - proved undeveloped, Prob - unproved probable, and Poss - unproved possible.

(2) Significant increases or decreases in any of the above unobservable inputs in isolation may result in a significant lower or higher fair value measurement, respectively.

During the three months ended March 31, 2023, there were no purchases of Level 3 investments. The classification of an investment within level 3 is based upon the significance of the unobservable inputs to the overall fair value measurement.

Transfers into and out of Level 3 are recorded at the value of the assets at the beginning of the year. During the three months ended March 31, 2023, the Partnership did not have any transfers between any levels of the fair value hierarchy. Because of the inherent uncertainty of valuation of these level 3 investments, those estimated values may differ significantly from values that would have been used had a ready market for the investments existed. Such differences could be material.

Concentration of Risk

As the Partnership's investments are primarily in the domestic independent oil and gas sector, revenue and profitability are dependent upon numerous factors beyond the Partnership's control, such as economic and political developments in the industry and competition from other sources of energy. The energy markets have historically been very volatile and there can be no assurance that oil and gas prices will not be subject to wide fluctuations in the future. A substantial or extended decline in oil and gas prices could have a material adverse effect on the Partnership's financial position, results of operations and cash flows.

The Partnership's investment program requires a moderate amount of diversification among its portfolio companies. Under the Partnership Agreement, the Partnership may not invest more than 15% of total commitments in any one portfolio company without the prior approval of the Advisory Board or 20% of total commitments in any one portfolio company without consent of at least 66 2/3% of the Limited Partners. This policy may subject the Partnership to greater volatility than would usually be present in a more diversified portfolio, inasmuch as poor performance with respect to any one investment by the Partnership may expose the Partnership to a greater degree of loss than would be the case with a more broadly diversified investment program.

Most of the total commitment will be invested in privately negotiated equity and equity-related investments. Generally, there is no readily available market for such investments and, as such, the Partnership might take longer to liquidate these positions than would be the case for investments in publicly traded securities. Although these securities may be resold in privately negotiated transactions, the prices on these sales could be less than those originally paid by the Partnership. Also, issuers whose securities are not publicly traded may not be subject to public disclosure and other investor protection requirements applicable to publicly traded securities. In addition, the issuers of such privately negotiated securities are companies which typically have limited capitalization and limited operating histories, companies operating at a loss or with significant variations in operating results from period to period, companies which may need substantial additional capital to support operations and growth, and companies which may be highly leveraged. By their nature, such investments possess a high degree of business and financial risk that may result in substantial losses.

Cash and Cash Equivalents

Cash and cash equivalents consist of demand deposits and cash held in Fidelity Investments Money Market Funds Treasury Portfolio – Class I ("Fidelity money market account"), a money market fund which contains investments with weighted average maturities of three months or less. As of March 31, 2023, the Partnership has cash in its Fidelity money market account of $20,939,616. The Partnership places its cash and cash equivalents with financial institutions and, at times, cash held in bank accounts may exceed the Federal Deposit Insurance Corporation insured limit. Cash and cash equivalents are classified as Level 1 assets and are carried at cost or amortized cost which approximates fair value.

Income and Expenses

Income and expenses from the Partnership's general operations are recognized on the accrual basis.

Investment Transactions and Related Investment Income

Investment transactions are accounted for on a trade-date basis. Dividend income is recorded on the record date with the exception of dividend income from marketable securities which is recorded on the ex-dividend date.

Gains or Losses on Investments

Realized gains and losses on investments represent the difference between the original cost of the investments and the related market price at the sale or distribution date, net of expenses, as well as write-offs. The difference between the original cost and the estimated fair value of investments, including any receivable for holdbacks, owned at the end of the period represents unrealized gains or losses.

Foreign Currency

Portfolio investments denominated in foreign currencies are translated into U.S. dollar amounts at period end. Purchases and sales of portfolio investments denominated in foreign currencies are translated into U.S. dollar amounts on the respective acquisition or disposition dates of such transactions.

Income Taxes

No provision for federal income taxes is included in the accompanying financial statements. As the Partnership is not subject to income taxation, the tax effects of its activities accrue to the individual partners.

The Partnership's tax returns are subject to examination by federal and state taxing authorities. As of December 31, 2022, the earliest tax year that remains subject to examination under the standard limitation period is 2019. Pursuant to the Bipartisan Budget Act of 2015, for tax years beginning after December 31, 2017, if the IRS makes audit adjustments to the Partnership's income tax returns, it (and some states) may assess and collect any taxes (including any applicable penalties and interest) resulting from such audit adjustments directly from the Partnership. To the extent possible under the new rules, the Partnership's general partner may elect to either pay the taxes (including any applicable penalties and interest) directly to the IRS or, if eligible, issue a revised information statement to each current limited partner and former limited partner with respect to an audited and adjusted return. Although the Partnership's general partner may elect to have the limited partners take such audit adjustment into account and pay any resulting taxes (including applicable penalties or interest) in accordance with their interests in the Partnership during the tax year under audit, there can be no assurance that such election will be practical, permissible or effective in all circumstances. As a result, current limited partners may bear some or all of the tax liability resulting from such audit adjustment, even if such limited partners did not own an interest in the Partnership during the tax year under audit. If, as a result of any such audit adjustment, the Partnership is required to make payments of taxes, penalties and interest, the cash available for distribution to our limited partners might be substantially reduced. These rules are not applicable for tax years beginning on or prior to December 31, 2017.

In accordance with a provision of the FASB guidance "Income Taxes", the General Partner is required to determine whether a tax position of the Partnership is more likely than not to be sustained upon examination by the applicable taxing authority, including resolution of any related appeals or litigation processes, based on the technical merits of the position. The tax benefit to be recognized is measured as the largest amount of benefit that is greater than fifty percent likely of being realized upon ultimate settlement which could result in the Partnership recording a tax liability that would reduce partners' capital. Based on the General Partner's analysis, there are no material disclosures or adjustments impacting the Partnership's financial statements as of March 31, 2023. The Partnership does not expect that its assessment regarding unrecognized tax benefits will materially change over the next twelve months. However, the General Partner's conclusions may be subject to review and adjustment at a later date based on on-going analyses of tax laws, regulations and interpretations thereof and other factors.

NOTE 3 – INVESTMENT TRANSACTIONS:

The Partnership made equity investments in certain private entities that are primarily engaged in the acquisition, development and operation of oil and gas properties. Generally, the related limited liability company and partnership agreements provide for a specified percentage sharing of revenues and expenses until the Partnership has achieved a specified internal rate of return and return on investment. After this level of return has been achieved, the percentage-sharing ratio is adjusted to provide for an increased allocation to the management group of the investee and a decreased allocation to the Partnership.

Total contributions to and proceeds from investments are as follows:

	Three months ended March 31, 2023	
	Contributions	Proceeds
Private equity investment holdings:		
EnCap FEx Holdings, LLC	$ —	$ 4,677,304
OGX Holding III, LLC	—	846,495
Excalibur Resources Holdings, LLC	—	60,362
MB Minerals, LP	—	29,829,510
EnCap International IX UK Ltd.	—	54,387
Phillips Energy Partners IV, LLC	—	928,813
	$ —	$ 36,396,871

In February 2023, the Partnership received additional sales proceeds from EnCap FEx Holdings, LLC of $4,677,304, resulting in a realized gain of $4,677,304.

In February 2023, the Partnership received additional sales proceeds from Phillips Energy Partners IV, LLC of $928,813 that were deemed a return of capital.

In January 2023, the Partnership received additional sales proceeds from MB Minerals, LP of $29,829,510, resulting in a realized gain of $13,213,613.

During the three months ended March 31, 2023, the Partnership received proceeds from Excalibur Resources Holdings, LLC of $60,362 that were deemed a return of capital.

NOTE 4 – ALLOCATIONS TO PARTNERS:

The Partnership Agreement provides that the net increase (decrease) in partners' capital resulting from operations associated with the Partnership is allocated 3% to the General Partner and 97% to the Limited Partners ("Partners' Sharing Ratio") until such time as the Limited Partners receive an 8% internal rate of return on their investment ("Preferred Return Payout"). After Preferred Return Payout is achieved, the General Partner is allocated 80% of the Limited Partner distributions and the Limited Partners are allocated the remaining 20% in proportion to their respective ownership percentages until such time the General Partner has been distributed 20% of total Limited Partner net distributions from the Partnership ("Catch-Up Payout"). After Catch-Up Payout is achieved, the Limited Partners are distributed net cash distributions equal to 80% of their original respective ownership interests and the remaining 20% distributed to the General Partner. Upon liquidation of the Partnership, the General Partner will be required to restore funds to the Partnership to the extent that the General Partner has received cumulative carried interest distributions in excess of amounts that would have been distributed to it pursuant to the formula set forth above applied on an aggregate basis covering all transactions of the Partnership, net of income taxes thereon. Funds returned to the Partnership for this purpose will be distributed to the Limited Partners in proportion to their aggregate funded commitments.

Net increase in partners' capital resulting from operations was allocated between the General Partner and Limited Partners in accordance with the allocation methodology described above. During the three months ended March 31, 2023, the net increase in partners' capital resulting from operations allocated to the

General Partner and Limited Partners was $20,265,146 and $70,204,265, respectively, which includes an unrealized incentive allocation to the General Partner of $17,551,064.

NOTE 5 – TRANSACTIONS WITH RELATED PARTIES:

The General Partner initially receives an annual management fee equal to 1.5% of total partner commitments, payable in advance at the beginning of each quarter. The initial management fee period expires upon the earlier of (a) five years from the final closing date, (b) the date the fund is fully invested, (c) the date a subsequent fund organized by the General Partner makes its first investment or (d) the occurrence of certain other events as specified in the Partnership Agreement. After such time, the annual management fee is equal to 1.5% of the Partnership's cash investment in remaining portfolio investments reduced by amounts distributed to the extent such amounts constitute a return of capital and any write-down or write-off where the General Partner has determined that such portfolio investment will not be repaid or recouped by the Partnership. The initial management fee period expired on March 12, 2015 upon the activation of EnCap Energy Capital Fund X, L.P., an affiliate of the Partnership. The management fee paid by the Partnership is reduced in the subsequent quarter by 100% of any transaction fees received by the General Partner. The management fee constitutes full reimbursement by the Partnership to the General Partner for the General Partner's administrative expenses, including, but not limited to, salaries and wages of officers and employees of the General Partner, office rent, utilities and other general, administrative and overhead expenses. In accordance with the Partnership Agreement, formally extended on December 9, 2022, no additional management fees are charged to the Partnership after December 19, 2022 through the remainder of the life of the Partnership.

During the three months ended March 31, 2023, the Partnership reimbursed EnCap Investments L.P. ("EnCap"), an affiliate of the Partnership, $374,352 for general and administrative expenses. At March 31, 2023, the Partnership owed $425,900 to EnCap for general and administrative expenses.

Managing Directors of the General Partner may serve on the Board of Directors of the Partnership's underlying portfolio companies.

Pursuant to the Partnership Agreement, the Partnership has agreed to indemnify the General Partner and its affiliates against certain losses and other liabilities to which they may become subject in connection with matters arising out of or in connection with the Partnership's business and affairs. The Partnership believes that it is unlikely that it will have to make material payments under these arrangements, and no liabilities related to these indemnifications have been recognized on the accompanying Statement of Assets, Liabilities and Partners' Capital.

NOTE 6 – FINANCIAL HIGHLIGHTS:

The following financial highlights for the year ended December 31, 2022, have been calculated in accordance with guidance provided in Accounting Standards Codification 946, "Financial Services – Investment Companies":

Net investment income ratio	11.7%
Expense ratios:	
Operating expenses	1.2%
Unearned incentive allocation	10.4%
Operating expenses and unearned incentive allocation ratio	11.6%
Internal rate of return net of incentive allocation (Inception to December 31, 2022)	10.4%
Internal rate of return net of incentive allocation (Inception to December 31, 2021)	8.3%

The net investment income and expense ratios are calculated for the Limited Partners taken as a whole. The net investment income and operating expenses ratios do not reflect the effects of the incentive allocation to the General Partner. The internal rate of return from inception is calculated based on the actual dates of the cash inflows and outflows and the residual value of the Limited Partners' capital account, net of all incentive allocations, as of each measurement date. Future realization of investments may be at different values than currently carried fair values, resulting in rates of return that may differ materially from that indicated above.

NOTE 7 – COMMITMENTS AND CONTINGENCIES:

The Partnership's investments are subject to legal proceedings, claims, and litigation arising in the ordinary course of business. Each investee defends itself vigorously against any such claims. Although the outcome of these matters is currently not determinable, the General Partner does not expect that the ultimate costs to resolve these matters will have a material adverse effect on its financial position, results of operations, or cash flows.

ENCAP ENERGY CAPITAL FUND IX-C, L.P. AND SUBSIDIARY

CONSOLIDATED FINANCIAL STATEMENTS

MARCH 31, 2023

ENCAP ENERGY CAPITAL FUND IX-C, L.P. AND SUBSIDIARY

CONSOLIDATED STATEMENT OF ASSETS, LIABILITIES AND PARTNERS' CAPITAL

	March 31, 2023
ASSETS	
Investment in EnCap Energy Capital Fund IX, L.P., at fair value	$ 497,360,127
Cash	61,836
Due from affiliate	4,159,052
Taxes receivable	37,356,449
Total assets	$ 538,937,464
LIABILITIES AND PARTNERS' CAPITAL	
Due to Limited Partners	$ 533,639
Total liabilities	533,639
Partners' capital:	
General Partner	—
Limited Partners	538,403,825
Total partners' capital	538,403,825
Total liabilities and partners' capital	$ 538,937,464

The accompanying notes are an integral part of these consolidated financial statements.

ENCAP ENERGY CAPITAL FUND IX-C, L.P. AND SUBSIDIARY

CONSOLIDATED STATEMENT OF OPERATIONS

	Three months ended March 31, 2023
Net investment income allocated from EnCap Energy Capital Fund IX, L.P.:	
Investment income	$ 8,086,194
Investment expense	(94,009)
Net investment income allocated from EnCap Energy Capital Fund IX, L.P.	7,992,185
Expenses:	
General and administrative	16,866
Total expenses	16,866
Net investment income	7,975,319
Realized and unrealized gain (loss) on investments allocated from EnCap Energy Capital Fund IX, L.P.:	
Net realized gain on investments	4,086,095
Net change in unrealized appreciation on investments	7,593,419
Allocation of unearned carried interest	(3,934,340)
Net realized and unrealized gain on investments allocated from EnCap Energy Capital Fund IX, L.P.	7,745,174
Income before provision for income taxes	15,720,493
Provision for income taxes	559,116
Net increase in partners' capital resulting from operations	$ 15,161,377

The accompanying notes are an integral part of these consolidated financial statements.

ENCAP ENERGY CAPITAL FUND IX-C, L.P. AND SUBSIDIARY

CONSOLIDATED STATEMENT OF CHANGES IN PARTNERS' CAPITAL

	General Partner	Limited Partners	Total
Partners' capital at December 31, 2022	$ —	$ 532,760,501	$ 532,760,501
Capital distributions	—	(9,518,053)	(9,518,053)
Net increase in partners' capital resulting from operations	—	15,161,377	15,161,377
Partners' capital at March 31, 2023	$ —	$ 538,403,825	$ 538,403,825

The accompanying notes are an integral part of these consolidated financial statements.

ENCAP ENERGY CAPITAL FUND IX-C, L.P. AND SUBSIDIARY

CONSOLIDATED STATEMENT OF CASH FLOWS

	Three months ended March 31, 2023
Cash flows from operating activities:	
Net increase in partners' capital resulting from operations	$ 15,161,377
Adjustments to reconcile increase in partners' capital resulting from operations to net cash provided by operating activities:	
Proceeds from EnCap Energy Capital Fund IX, L.P.	19,673,404
Net investment income allocated from EnCap Energy Capital Fund IX, L.P.	(7,992,185)
Realized gain on investment	(4,086,095)
Change in unrealized appreciation on investment	(7,593,419)
Allocation of unearned carried interest	3,934,340
Change in operating assets and liabilities	
(Increase) decrease in due from affiliate	(4,159,052)
(Increase) decrease in taxes receivable	559,116
Increase (decrease) in due to affiliate	(5,967,628)
Net cash provided by operating activities	9,529,858
Cash flows from financing activities:	
Distributions to partners	(9,518,053)
Net cash used for financing activities	(9,518,053)
Net change in cash	11,805
Cash, beginning of period	50,031
Cash, end of period	$ 61,836

The accompanying notes are an integral part of these consolidated financial statements.

NOTE 1 – ORGANIZATION:

EnCap Energy Capital Fund IX-C, L.P. (the "Partnership"), a Cayman exempt limited partnership, was formed on December 19, 2012 to provide its partners with an opportunity to participate as a limited partner in EnCap Energy Capital Fund IX, L.P. ("Fund IX"), a Texas limited partnership. Fund IX was formed on December 19, 2012 to invest in privately negotiated equity and equity-related investments in the upstream and midstream independent oil and gas sector of North America. The Partnership operates pursuant to a partnership agreement (the "Partnership Agreement") dated December 19, 2012, which should be referred to for a complete description of the provisions of the Partnership. EnCap Equity Fund IX-C Cayman GP, LLC ("General Partner"), a Delaware limited liability company, is the sole general partner of the Partnership. The General Partner does not own an economic interest in the Partnership.

The Partnership's final close was on January 31, 2013. There are 56 investors owning the limited partnership interests ("Limited Partners") in the Partnership. The Limited Partners' total capital commitments to the Partnership are $1,120.8 million. The Limited Partners' total outstanding commitments as of March 31, 2023 were approximately $43.6 million. The ratio of total contributed capital to total committed capital is 96.7%.

As a limited partner in Fund IX, the Partnership indirectly invests in all corresponding investments in Fund IX and receives a proportionate amount of investment income, gains (losses) and expenses equal to its relative contribution of capital as pursuant to the Fund IX partnership agreement. The financial statements of Fund IX, including the Schedule of Investments, are attached to this report and should be read with the Partnership's consolidated financial statements. The Partnership's funded ownership interest in Fund IX is 21.744034%. EnCap Energy Fund IX-C, L.P. (formerly EnCap Energy Fund IX-C, Inc.) ("C Blocker"), a wholly-owned subsidiary of the Partnership, was formed on December 19, 2012, for the purpose of being a limited partner of and holding record title to the limited partner interest in Fund IX. An alternative investment vehicle EnCap International IX-C, L.P. ("AIV"), a wholly-owned subsidiary of the Partnership, was formed to invest in all Canadian and Mexican corporations, limited partnerships, and limited liability company investments of Fund IX.

The Partnership was to be dissolved upon the expiration of a 10-year period ending December 19, 2022. On December 9, 2022, an extension of the Partnership Agreement was formally approved by the Advisory Board to extend the life of the Partnership until December 31, 2024.

NOTE 2 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Basis of Presentation

The accompanying consolidated financial statements have been prepared on the accrual basis in accordance with accounting principles generally accepted in the United States of America ("GAAP"), and include the accounts of C Blocker and AIV. The Partnership is considered an investment company under GAAP and follows the accounting and reporting guidance applicable to investment companies in the Financial Accounting Standards Board Accounting Codification ("ASC") 946, Financial Services – Investment Companies.

Consolidation

C Blocker and AIV are included in the accounts of the Partnership. All intercompany balances and transactions have been eliminated from the consolidated financial statements.

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires the General Partner to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the dates of the consolidated financial statements and the reported amounts of revenue and expenses during the reporting period. Actual results, including the ultimate amount realized upon the sale of illiquid and/or fair valued investments, can, and often do, differ from those estimates.

Investment valuation and transactions

The Financial Standards Accounting Board ("FASB") guidance "Fair Value Measures," establishes a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (level 1 measurement) and the lowest priority to unobservable inputs (level 3 measurements). The three levels of the fair value hierarchy under the guidance are as follows:

Level 1 Inputs that reflect unadjusted quoted prices in active markets for identical assets or liabilities that the Partnership has the ability to access at the measurement date;

Level 2 Inputs other than quoted prices that are observable for the asset or liability either directly or indirectly, including inputs in markets that are not considered to be active;

Level 3 Prices, inputs or modeling techniques which are both significant to the fair value measurement and unobservable (supported by little or no marked activity).

As of March 31, 2023, the investment in Fund IX is excluded from the fair value hierarchy leveling as the fair value of the investment was measured at net asset value ("NAV") using the practical expedient. Fund IX's valuation policies are discussed in Note 2 of the Fund IX financial statements attached to this report.

Concentration of Risk

As the Partnership's investment in Fund IX is primarily related to the domestic independent oil and gas sector, revenue and profitability are dependent upon numerous factors beyond the Partnership's control, such as economic and political developments in the industry and competition from other sources of energy. The energy markets have historically been very volatile and there can be no assurance that oil and gas prices will not be subject to wide fluctuations in the future. A substantial or extended decline in oil and gas prices could have a material adverse effect on the Partnership's financial position, results of operations and cash flows.

Fund IX's investment program requires a moderate amount of diversification among its portfolio companies. Under the Partnership Agreement, Fund IX may not invest more than 15% of total commitments in any one portfolio company without the prior approval of the Advisory Board or 20% of total commitments in any one portfolio company without consent of at least 66 2/3% of its limited partners. This policy may subject Fund IX to greater volatility than would usually be present in a more diversified portfolio, inasmuch as poor performance with respect to any one investment by Fund IX may expose the Partnership to a greater degree of loss than would be the case with a more broadly diversified investment program.

Most of the total commitment will be invested through Fund IX in privately negotiated equity and equity-related investments. Generally, there is no readily available market for such investments and, as such, Fund IX might take longer to liquidate these positions than would be the case for investments in publicly traded securities. Although these securities may be resold in privately negotiated transactions, the prices on these sales could be less than those originally paid by Fund IX. Also, issuers whose securities are not publicly traded may not be subject to public disclosure and other investor protection requirements applicable to publicly traded securities. In addition, the issuers of such privately negotiated securities are companies which typically have limited capitalization and limited operating histories, companies operating at a loss or with significant variations in operating results from period to period, companies which may need substantial additional capital to support operations and growth, and companies which may be highly leveraged. By their nature, such investments possess a high degree of business and financial risk that may result in substantial losses.

Cash

Cash represents cash deposits held at financial institutions which is readily available. At any time, cash in financial institutions may exceed federally insured limits.

Income and Expenses

Income and expenses from the Partnership's general operations are recognized on the accrual basis.

Gains or Losses on Investments

Realized gains and losses on investments represent the pro-rata allocation of Fund IX's difference between the original cost of the investments and the related market price at the sale or distribution date, net of expenses, as well as write-offs. The difference between the original cost and the estimated fair value of investments, including any receivable for holdbacks, owned at the end of the period represents unrealized gains or losses.

Foreign Currency

Portfolio investments denominated in foreign currencies are translated into U.S. dollar amounts at period end. Purchases and sales of portfolio investments denominated in foreign currencies are translated into U.S. dollar amounts on the respective acquisition or disposition dates of such transactions.

Income Taxes

The Partnership's consolidated financial statements include provisions for income tax expense and income taxes payable by its subsidiary, C Blocker. In accordance with the FASB guidance "Income Taxes", C Blocker provides for all income taxes payable and for deferred taxes arising from temporary differences between the book and tax bases of assets and liabilities using enacted tax rates and laws in effect in the years in which differences are expected to reverse. Income taxes paid and payable by C Blocker are allocated to the Partners based on their respective sharing percentages in effect at the time of the respective expense or benefit is incurred. A valuation allowance is recognized for deferred tax assets if it is more likely than not that some or all of the deferred tax asset will not be realized.

The Partnership is not subject to income taxation, the tax effects of its activities accrue to the individual partners. The Partnership's tax returns are subject to examination by federal, state, local and foreign taxing authorities, where applicable. As of December 31, 2022, the earliest tax year that remains subject to examination under the standard limitation period is 2019. Pursuant to the Bipartisan Budget Act of 2015, for tax years beginning after December 31, 2017, if the IRS makes audit adjustments to the Partnership's income tax returns, it (and some states) may assess and collect any taxes (including any applicable penalties and interest) resulting from such audit adjustments directly from the Partnership. To the extent possible under the new rules, the Partnership's general partner may elect to either pay the taxes (including any applicable penalties and interest) directly to the IRS or, if eligible, issue a revised information statement to each current limited partner and former limited partner with respect to an audited and adjusted return. Although the Partnership's general partner may elect to have the limited partners take such audit adjustment into account and pay any resulting taxes (including applicable penalties or interest) in accordance with their interests in the Partnership during the tax year under audit, there can be no assurance that such election will be practical, permissible or effective in all circumstances. As a result, current limited partners may bear some or all of the tax liability resulting from such audit adjustment, even if such limited partners did not own an interest in the Partnership during the tax year under audit. If, as a result of any such audit adjustment, the Partnership is required to make payments of taxes, penalties and interest, the cash available for distribution to our limited partners might be substantially reduced. These rules are not applicable for tax years beginning on or prior to December 31, 2017.

The General Partner is required to determine whether a tax position of the Partnership is more likely than not to be sustained upon examination by the applicable taxing authority, including resolution of any related appeals or litigation processes, based on the technical merits of the position. The tax benefit to be recognized is measured as the largest amount of benefit that is greater than fifty percent likely of being realized upon ultimate settlement which could result in the Partnership recording a tax liability that would reduce partners' capital. Based on the General Partner's analysis, there are no material disclosures or adjustments impacting the Partnership's consolidated financial statements as of March 31, 2023. The Partnership does not expect that its assessment regarding unrecognized tax benefits will materially change over the next twelve months. However, the General Partner's conclusions may be subject to review and adjustment at a later date based on on-going analyses of tax laws, regulations and interpretations thereof and other factors.

NOTE 3 – ALLOCATIONS TO PARTNERS:

The Partnership Agreement provides that the net increase (decrease) in partners' capital resulting from operations associated with the Partnership is allocated 100% to the Limited Partners on a pro-rata basis.

NOTE 4 – TRANSACTIONS WITH RELATED PARTIES:

During the three months ended March 31, 2023, the Partnership reimbursed EnCap Investments L.P. ("EnCap"), an affiliate of the Partnership, $95,047 for general and administrative expenses. At March 31, 2023, the Partnership owed EnCap $568 for general and administrative expenses.

NOTE 5 – INCOME TAXES:

The Partnership's wholly owned corporate subsidiary, C Blocker, has recorded an income tax expense of $4,193,951 during the year ended December 31, 2022. Set forth below is a reconciliation between taxes on income subject of taxation computed at the Federal statutory rate of 21% and Partnership's reported provision for income taxes:

	December 31, 2022
Income before income taxes	$ 188,282,630
Nontaxable partnership loss	(60,313,704)
Income subject to taxation	$ 127,968,926
Income taxes at statutory rate	$ 26,873,474
State taxes	3,301,768
Provision to return	(437,094)
Change in valuation allowance	(25,544,197)
Income tax expense	$ 4,193,951

On August 16, 2022, the Inflation Reduction Act ("IRA") was signed into law and included various income tax related provisions with effective dates generally beginning in 2023. Among the enacted provisions are a 15% corporate alternative minimum tax ("CAMT") and several new and expanded clean energy credits and incentives. The CAMT will be assessed on applicable corporations with an average annual adjusted financial statement income that exceeds $1 billion for the preceding three consecutive years. The CAMT requires complex computations to be performed that were not previously required in U.S. tax law, significant judgments to be made in interpretation of the provisions of the IRA, significant estimates in calculations, and the preparation and analysis of information not previously relevant or regularly produced. The Partnership is still evaluating the full impact of this legislation and awaits further guidance and clarifications from the U.S. Treasury. The Partnership has not considered the effects of the CAMT on the realizability of its deferred tax assets, carryforwards and other tax credits for the year ending December 31, 2022 and will record the effects in the period when they arise.

The following table reflects the components of income tax expense included in income from continuing operations:

		December 31, 2022
Current		
Federal	$	4,179,418
State		14,533
Total Current		4,193,951
Deferred		
Federal		-
State		-
Total Deferred		-
Total income tax expense	$	4,193,951

The Partnership's deferred tax asset is comprised of the following:

		December 31, 2022
Net operating loss carryforwards	$	6,029,983
Other future deductible expenses		8,776,512
OK Jobs credit		111,911
Deferred interest deductions and other		51,370,714
Valuation allowance		(9,085,152)
Deferred tax asset		57,203,968
Book versus tax basis difference in investments		(57,203,968)
Deferred tax liability		(57,203,968)
Net deferred tax asset/(liability)	$	—

The Partnership has recorded a net deferred tax asset of approximately $57,203,968 during the tax year ended December 31, 2022, primarily related to state net operating loss carryforwards, deferred interest, and IDC expenses. The Partnership has no federal net operating loss carryforwards remaining and state net operating loss carryforwards of $175,383,615 that expire beginning in 2033. As a result of The Tax Reform Act, federal net operating losses and certain state net operating losses generated in tax years beginning after December 31, 2017 can be carried forward indefinitely. Realization of deferred tax assets associated with net operating loss carryforwards is dependent upon generating sufficient taxable income prior to their expiration. Management believes that the weight of available evidence suggests that it is more likely than not that the deferred tax asset will not be realized as of December 31, 2022 and have provided a full valuation allowance against the deferred tax asset.

As of December 31, 2022, the Partnership has examined all material federal and state tax positions for all open tax years and is not aware of any uncertain tax positions requiring adjustments to our tax liability. If applicable, we will record to the income tax provision any interest and penalties related to unrecognized tax positions.

NOTE 6 – FINANCIAL HIGHLIGHTS:

The following financial highlights for the year ended December 31, 2022, have been calculated in accordance with guidance provided in Accounting Standards Codification 946, "Financial Services – Investment Companies":

Net investment income ratio	10.9%
Expense ratios:	
Expenses	1.9%
Unearned incentive allocation	9.7%
Expenses including unearned incentive allocation ratio	11.6%
Internal rate of return net of incentive allocation (Inception to December 31, 2022)	9.4%
Internal rate of return net of incentive allocation (Inception to December 31, 2021)	7.4%

The net investment income and expense ratios are calculated for the Limited Partners taken as a whole. The net investment income and expenses ratios do not reflect the effects of the incentive allocation to the General Partner. The expense ratios include expenses allocated from Fund IX and the effect of the income tax provision. The internal rate of return from inception is calculated based on the actual dates of the cash inflows and outflows and the residual value of the Limited Partners' capital account, net of all incentive allocations, as of each measurement date. Future realization of investments may be at different values than currently carried fair values, resulting in rates of return that may differ materially from that indicated above.

NOTE 7 – COMMITMENTS AND CONTINGENCIES:

The Partnership's investments are subject to legal proceedings, claims, and litigation arising in the ordinary course of business. Each investee defends itself vigorously against any such claims. Although the outcome of these matters is currently not determinable, the General Partner does not expect that the ultimate costs to resolve these matters will have a material adverse effect on its financial position, results of operations, or cash flows.

ENCAP ENERGY CAPITAL FUND IX-D, L.P.

FINANCIAL STATEMENTS

MARCH 31, 2023

ENCAP ENERGY CAPITAL FUND IX-D, L.P.

STATEMENT OF ASSETS, LIABILITIES AND PARTNERS' CAPITAL

		March 31, 2023
ASSETS		
Investment in EnCap Energy Capital Fund IX, L.P., at fair value	$	143,237,043
Cash and cash equivalents		684,616
Due from Limited Partners		265,298
Total assets	$	144,186,957
LIABILITIES AND PARTNERS' CAPITAL		
Due to affiliate	$	896,365
Total liabilities		896,365
Partners' capital:		
General Partner		—
Limited Partners		143,290,592
Total partners' capital		143,290,592
Total liabilities and partners' capital	$	144,186,957

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND IX-D, L.P.

STATEMENT OF OPERATIONS

	Three months ended March 31, 2023
Net investment income allocated from EnCap Energy Capital Fund IX, L.P.:	
Investment income	$ 2,328,780
Investment expense	(27,074)
Net investment income allocated from EnCap Energy Capital Fund IX, L.P.	2,301,706
Investment income:	
Interest	1,102
Total investment income	1,102
Expenses:	
General and administrative	7,926
Total expenses	7,926
Net investment income	2,294,882
Realized and unrealized gain (loss) on investments allocated from EnCap Energy Capital Fund IX, L.P.:	
Net realized gain on investments	1,176,774
Net change in unrealized appreciation on investments	2,186,864
Allocation of unearned carried interest	(1,133,069)
Net realized and unrealized gain on investments allocated from EnCap Energy Capital Fund IX, L.P.	2,230,569
Net increase in partners' capital resulting from operations	$ 4,525,451

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND IX-D, L.P.

STATEMENT OF CHANGES IN PARTNERS' CAPITAL

	General Partner	Limited Partners	Total
Partners' capital at December 31, 2022	$ —	$ 144,407,905	$ 144,407,905
Capital distributions	—	(5,642,764)	(5,642,764)
Net increase in partners' capital resulting from operations	—	4,525,451	4,525,451
Partners' capital at March 31, 2023	$ —	$ 143,290,592	$ 143,290,592

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND IX-D, L.P.

STATEMENT OF CASH FLOWS

	Three months ended March 31, 2023
Cash flows from operating activities:	
Net increase in partners' capital resulting from operations	$ 4,525,451
Adjustments to reconcile increase in partners' capital resulting from operations to net cash provided by operating activities:	
Proceeds from EnCap Energy Capital Fund IX, L.P.	5,665,834
Net investment income allocated from EnCap Energy Capital Fund IX, L.P.	(2,301,706)
Realized gain on investment	(1,176,774)
Change in unrealized appreciation on investment	(2,186,864)
Allocation of unearned carried interest	1,133,069
Change in operating assets and liabilities	
(Increase) decrease in due from Limited Partners	609,616
Increase (decrease) in due to affiliate	(15,144)
Net cash provided by operating activities	6,253,482
Cash flows from financing activities:	
Distributions to partners	(5,642,764)
Advances from General Partner	896,365
Repayment of advances from General Partner	(822,467)
Net cash used for financing activities	(5,568,866)
Net change in cash and cash equivalents	684,616
Cash and cash equivalents, beginning of period	—
Cash and cash equivalents, end of period	$ 684,616

The accompanying notes are an integral part of these financial statements.

ENCAP ENERGY CAPITAL FUND IX-D, L.P.

NOTES TO FINANCIAL STATEMENTS

NOTE 1 – ORGANIZATION:

EnCap Energy Capital Fund IX-D, L.P. (the "Partnership"), a Texas limited partnership, was formed on December 19, 2012 to provide its partners with an opportunity to participate as a limited partner in EnCap Energy Capital Fund IX, L.P. ("Fund IX"), a Texas limited partnership. Fund IX was formed on December 19, 2012 to invest in privately negotiated equity and equity-related investments in the upstream and midstream independent oil and gas sector of North America. The Partnership operates pursuant to a partnership agreement (the "Partnership Agreement") dated December 19, 2012, which should be referred to for a complete description of the provisions of the Partnership. EnCap Equity Fund IX-D GP, LLC ("General Partner"), a Delaware limited liability company, is the sole general partner of the Partnership. The General Partner does not own an economic interest in the Partnership.

The Partnership's final close was on January 31, 2013. There are 12 investors owning the limited partnership interests ("Limited Partners") in the Partnership. The Limited Partners' total capital commitments to the Partnership are $322.8 million. The Limited Partners' total outstanding commitments as of March 31, 2023 were approximately $12.6 million. The ratio of total contributed capital to total committed capital is 96.7%.

As a limited partner in Fund IX, the Partnership indirectly invests in all corresponding investments in Fund IX and receives a proportionate amount of investment income, gains (losses) and expenses equal to its relative contribution of capital as pursuant to the Fund IX partnership agreement. The financial statements of Fund IX, including the Schedule of Investments, are attached to this report and should be read with the Partnership's financial statements. The Partnership's funded ownership interest in Fund IX is 6.262165%. The Partnership will participate in Fund IX indirectly through EnCap Energy IX-D, Inc. ("Fund IX-D, Inc."). Fund IX-D, Inc. will hold record title to the limited partnership interest in Fund IX as a nominee for and behalf of the Partnership as described in the Agency Agreement. Beneficial ownership will remain with the Partnership, which will be treated as the owner of the Partnership interest in Fund IX for U.S. federal income tax purposes.

The Partnership was to be dissolved upon the expiration of a 10-year period ending December 19, 2022. On December 9, 2022, an extension of the Partnership Agreement was formally approved by the Advisory Board to extend the life of the Partnership until December 31, 2024.

NOTE 2 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES:

Basis of Presentation

The accompanying financial statements have been prepared on the accrual basis in accordance with accounting principles generally accepted in the United States of America ("GAAP"). The Partnership is considered an investment company under GAAP and follows the accounting and reporting guidance applicable to investment companies in the Financial Accounting Standards Board Accounting Codification ("ASC") 946, Financial Services – Investment Companies.

Use of Estimates

The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires the General Partner to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the dates of the financial statements and the reported amounts of revenue and expenses during the reporting period. Actual results, including the ultimate amount realized upon the sale of illiquid and/or fair valued investments, can, and often do, differ from those estimates.

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Jun 26, 2024 12:21 PM EDT

Investment valuation and transactions

The Financial Standards Accounting Board ("FASB") guidance "Fair Value Measures," establishes a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (level 1 measurement) and the lowest priority to unobservable inputs (level 3 measurements). The three levels of the fair value hierarchy under the guidance are as follows:

Level 1 Inputs that reflect unadjusted quoted prices in active markets for identical assets or liabilities that the Partnership has the ability to access at the measurement date;

Level 2 Inputs other than quoted prices that are observable for the asset or liability either directly or indirectly, including inputs in markets that are not considered to be active;

Level 3 Prices, inputs or modeling techniques which are both significant to the fair value measurement and unobservable (supported by little or no marked activity).

As of March 31, 2023, the investment in Fund IX is excluded from the fair value hierarchy leveling as the fair value of the investment was measured at net asset value ("NAV") using the practical expedient. Fund IX's valuation policies are discussed in Note 2 of the Fund IX financial statements attached to this report.

Concentration of Risk

As the Partnership's investment in Fund IX is primarily related to the domestic independent oil and gas sector, revenue and profitability are dependent upon numerous factors beyond the Partnership's control, such as economic and political developments in the industry and competition from other sources of energy. The energy markets have historically been very volatile and there can be no assurance that oil and gas prices will not be subject to wide fluctuations in the future. A substantial or extended decline in oil and gas prices could have a material adverse effect on the Partnership's financial position, results of operations and cash flows.

Fund IX's investment program requires a moderate amount of diversification among its portfolio companies. Under the Partnership Agreement, Fund IX may not invest more than 15% of total commitments in any one portfolio company without the prior approval of the Advisory Board or 20% of total commitments in any one portfolio company without consent of at least 66 2/3% of its limited partners. This policy may subject Fund IX to greater volatility than would usually be present in a more diversified portfolio, inasmuch as poor performance with respect to any one investment by Fund IX may expose the Partnership to a greater degree of loss than would be the case with a more broadly diversified investment program.

Most of the total commitment will be invested through Fund IX in privately negotiated equity and equity-related investments. Generally, there is no readily available market for such investments and, as such, Fund IX might take longer to liquidate these positions than would be the case for investments in publicly traded securities. Although these securities may be resold in privately negotiated transactions, the prices on these sales could be less than those originally paid by Fund IX. Also, issuers whose securities are not publicly traded may not be subject to public disclosure and other investor protection requirements applicable to publicly traded securities. In addition, the issuers of such privately negotiated securities are companies which typically have limited capitalization and limited operating histories, companies operating at a loss or with significant variations in operating results from period to period, companies which may need substantial additional capital to support operations and growth, and companies which may be highly leveraged. By their nature, such investments possess a high degree of business and financial risk that may result in substantial losses.

Cash and cash equivalents

Cash and cash equivalents consist of demand deposits and cash held in Fidelity Investments Money Market Funds Treasury Portfolio – Class I ("Fidelity money market account"), a money market fund which contains investments with weighted average maturities of three months or less. As of March 31, 2023, the Partnership has no cash in its Fidelity money market account. The Partnership places its cash and cash equivalents with financial institutions and, at times, cash held in bank accounts may exceed the Federal Deposit Insurance Corporation insured limit. Cash and cash equivalents are classified as Level 1 assets and are carried at cost or amortized cost which approximates fair value.

Income and Expenses

Income and expenses from the Partnership's general operations are recognized on the accrual basis.

Gains or Losses on Investments

Realized gains and losses on investments represent the pro-rata allocation of Fund IX's difference between the original cost of the investments and the related market price at the sale or distribution date, net of expenses, as well as write-offs. The difference between the original cost and the estimated fair value of investments, including any receivable for holdbacks, owned at the end of the period represents unrealized gains or losses.

Income Taxes

No provision for federal income taxes is included in the accompanying financial statements. As the Partnership is not subject to income taxation, the tax effects of its activities accrue to the individual partners.

The Partnership's tax returns are subject to examination by federal and state taxing authorities. As of December 31, 2022, the earliest tax year that remains subject to examination under the standard limitation period is 2019. Pursuant to the Bipartisan Budget Act of 2015, for tax years beginning after December 31, 2017, if the IRS makes audit adjustments to the Partnership's income tax returns, it (and some states) may assess and collect any taxes (including any applicable penalties and interest) resulting from such audit adjustments directly from the Partnership. To the extent possible under the new rules, the Partnership's general partner may elect to either pay the taxes (including any applicable penalties and interest) directly to the IRS or, if eligible, issue a revised information statement to each current limited partner and former limited partner with respect to an audited and adjusted return. Although the Partnership's general partner may elect to have the limited partners take such audit adjustment into account and pay any resulting taxes (including applicable penalties or interest) in accordance with their interests in the Partnership during the tax year under audit, there can be no assurance that such election will be practical, permissible or effective in all circumstances. As a result, current limited partners may bear some or all of the tax liability resulting from such audit adjustment, even if such limited partners did not own an interest in the Partnership during the tax year under audit. If, as a result of any such audit adjustment, the Partnership is required to make payments of taxes, penalties and interest, the cash available for distribution to our limited partners might be substantially reduced. These rules are not applicable for tax years beginning on or prior to December 31, 2017.

In accordance with a provision of the FASB guidance "Income Taxes", the General Partner is required to determine whether a tax position of the Partnership is more likely than not to be sustained upon examination by the applicable taxing authority, including resolution of any related appeals or litigation processes, based on the technical merits of the position. The tax benefit to be recognized is measured as the largest amount of benefit that is greater than fifty percent likely of being realized upon ultimate settlement which could result in the Partnership recording a tax liability that would reduce partners' capital. Based on the General Partner's analysis, there are no material disclosures or adjustments impacting the Partnership's financial statements as of March 31, 2023. The Partnership does not expect that its assessment regarding unrecognized tax benefits will materially change over the next twelve months. However, the General Partner's conclusion may be subject to review and adjustment at a later date based on on-going analyses of tax laws, regulations and interpretations thereof and other factors.

NOTE 3 – ALLOCATIONS TO PARTNERS:

The Partnership Agreement provides that the net increase (decrease) in partners' capital resulting from operations associated with the Partnership is allocated 100% to the Limited Partners on a pro-rata basis.

NOTE 4 – TRANSACTIONS WITH RELATED PARTIES:

During the three months ended March 31, 2023, the Partnership reimbursed EnCap Investments L.P. ("EnCap"), an affiliate of the Partnership, $23,070 for general and administrative expenses. At March 31, 2023, the Partnership owed $0 to EnCap for general and administrative expenses. At March 31, 2023, the Partnership was owed certain taxes of $265,298 on behalf of certain Limited Partners.

NOTE 5 – FINANCIAL HIGHLIGHTS:

The following financial highlights for the year ended December 31, 2022, have been calculated in accordance with guidance provided in Accounting Standards Codification 946, "Financial Services – Investment Companies":

Net investment income ratio	11.6%
Expense ratios:	
Operating expenses	1.2%
Unearned incentive allocation	10.4%
Operating expenses and unearned incentive allocation ratio	11.6%
Internal rate of return net of incentive allocation (Inception to December 31, 2022)	10.3%
Internal rate of return net of incentive allocation (Inception to December 31, 2021)	8.3%

The net investment income and expense ratios are calculated for the Limited Partners taken as a whole. The net investment income and operating expenses ratios do not reflect the effects of the incentive allocation to the General Partner. The expense ratios include expenses allocated from Fund IX. The internal rate of return from inception is calculated based on the actual dates of the cash inflows and outflows and the residual value of the Limited Partners' capital account, net of all incentive allocations, as of each measurement date. Future realization of investments may be at different values than currently carried fair values, resulting in rates of return that may differ materially from that indicated above.

NOTE 6 – COMMITMENTS AND CONTINGENCIES:

The Partnership's investments are subject to legal proceedings, claims, and litigation arising in the ordinary course of business. Each investee defends itself vigorously against any such claims. Although the outcome of these matters is currently not determinable, the General Partner does not expect that the ultimate costs to resolve these matters will have a material adverse effect on its financial position, results of operations, or cash flows.